Inside Silicon Valley’s VC Playbook | WTF is Venture Capital? - 2025 Edition | Ep. 24

How you guys see different sectors evolving? Where can me as either an investor or somebody looking to start my career as a young man or woman, have enough tailwinds that it makes sense to spend the next decade in? Ready? Yeah, start. So maybe we start with small introductions, maybe two minutes on who you are, how you got to be where you are and what you're doing now. Would you like to go first? Sure.

You know, I started, well, depending on how far back you want to go, I was from India. Why Didi? Why Didi? My real name is Debar Ghodas. In the city of Calcutta, that's not as uncommon a name as you'd think.

But even in the city of Calcutta, where I'm from, nobody could say that name. So very quickly in high school, we had to call me something else and my initials are Didi. But then that didn't solve the problem because then you have to explain what my name actually is anyway.

And so then I just came up with the moniker Didi, not Didi the Dexter's sister. And so I spelled it a little bit differently. And that's what stuck.

So that stuck in high school and it's been Didi ever since. So what did you study? When did you come here? What do you do now? Awesome. So 2011, I got to America for the second time.

I was here as a kid for a bit. I went to Cornell, I studied computer science, I did my undergrad and my master's. First job was Meta in New York, did that for a year, then went to Google in New York, traveled a little bit, spent some time in Israel, Bangalore.

And then I was on the founding team of a company called Glean, which is a GC-backed company as well. And spent a good four years there. Towards the end of my time at Glean, I went from doing engineering, to managing, to running their AI product line.

What did Glean do? Glean started as an enterprise search business. Happy to dive in to what that means. And then it evolved into generally an enterprise assistant and knowledge finding tool for bigger companies to figure out answers to questions like, what do I do for onboarding? Or what is our holiday policy? Or even very specific questions about what does this person do at the company? And how can I find this doc? All of that stuff.

Glean is now like a $7 billion company. It's done fairly well so far. After four years there, I decided to try something else.

My friends would joke in a span of two years, I went from engineering, management, product, and then venture. But I was just looking for something fun to do. And so I joined Menlo about a year and a half ago, and I'm at Menlo right now.

And what does Menlo look at specifically? So Menlo, to give a background, has been around for quite a bit of time. It's a 48-year-old fund. We are now investing out of a $1.5 billion fund, but we have about $7 billion under management.

Our focus right now is, our maybe landmark investment today is we're big investors in Anthropic. But our focus right now, and my focus at least, is seed and series A deals for AI, SaaS, Infra, sort of all over. Now, nowadays everything is a bit of AI, but the entire fund does everything up to a series B and sometimes Cs and Ds as well.

We also do have a good biotech practice and a consumer practice, and the rest of the stuff we do is primarily software adjacent. What is the Anthropic story? Can you summarize for us? Oh my God, what is the story? The Anthropic story was, and I'm probably not the best person to tell the story, but a few people left OpenAI, wanted to do a foundational model company somewhat differently. And they built a, and both of them hadn't figured out a business, and now Anthropic has sort of built a model that eventually became very good at coding, and it got a ton of recognition for that.

And then it sort of, now Anthropic, I would say, is a company that's trying to solve AGI, but they believe the route there is through reasoning, coding, and things like this. They very distinctly do not really do much outside of text-to-text models, so less audio stuff, video stuff, things like that. And that's really their primary focus.

And in terms of a business, they just serve enterprise customers primarily. They do have a consumer app, but that's not really the prime business. Thank you.

Do you like to go next? Sure. I'm Nikunj. I moved to the States half my life ago.

Nico and I were just chatting about it. 17 years ago, I went to Urbana-Champaign to do electrical engineering and computer science. And then I moved to the Bay 13 years ago, which, I don't know what happens to both of you, when new people in their 20s come here, I feel like a boomer.

It's like, I legitimately feel old. They're like, when did you move here? 13 years ago. And they look at me and they'll start eye-rolling.

Like three weeks ago. Exactly. And then I was an operator for 11 years.

I started my career at LinkedIn. I spent two years there and then quickly got the startup bug. I did four startups back-to-back when I was the first PM at a few of them.

I joined a company called Hull, which did enterprise communication. I joined and one week later Slack launched, which was a tough one year. I heard of that one.

Yeah, yeah. As venture capitalists say, you pick the right area but the wrong horse. You guys had a great URL back then, right? Hull.com? We still have Hull.com. Yeah.

Amazing. Yeah. At last I bought the company, didn't want to go back to a large company.

And then I joined a company called Ship. They did first file parcel delivery. I got really enamored by the physical world.

This was peak Uber days, Uber was crushing. Spent two years there, really loved, enjoyed how do you build end-to-end products, iOS, web, but with a large operations angle. And then my best friend worked at Opendoor, which is a real estate company.

He said, why don't you come join the team there? Can you tell us a bit Opendoor? We were discussing earlier, but it's interesting. Yeah, it's in the news right now because it's become a meme stock. That's like growing really well, but I still fundamentally believe in the mission.

So I think unlike other countries in the world where a transaction cost for buying or selling a home is 1% or lower, in the US it's 6%. Which means when you're trying to sell a home, agents take 6% of the commission. And that's crazy.

Residential real estate is the second largest asset class in this country. And there's a 6% tax doing that, which is just mind-boggling to me as someone looking at the space. And so the company was founded by four founders, Keither Boy, Eric, JD, and Ian.

And their model was we will buy our home unseen. So every home that's bought and sold in the country is on a register called the MLS. And so using machine learning, they said, hey, we could figure out what the true value of this home is.

So you enter an address, answer a few questions, and we give you an all-cash offer to buy the home in one minute, which is very different than you having to stage your home and list your home and pay an agent a transaction fee. In one minute you get that fee. And Opendoor held the inventory.

Opendoor held the inventory. So yeah, we'd buy the home, we would refurbish it, and then we would buy it from the buyer perspective. You can enter any home anytime you want and you can buy the home.

All online, all transaction. It was a great journey. Some of my formative learnings came from there.

I spent four years there. 2020, I had to file 35% of the company. Then we went IPO six months later.

Yes, craziest six months of my career. But then I only liked doing early stage, so I joined a company called Meter, which does networking hardware. I'm meeting him tomorrow.

I know. Yeah, he's amazing. I wish I get the opportunity to back people like him.

GC did a big round there as well, I think. Yeah, it's a 10-year overnight success story. So tell us a bit about Meter.

So similar to Opendoor, where there's so much friction in the home buying and selling journey, today, if you want to equip a space like this for internet, it takes six different entities to do it. There's the internet service provider, there's a hardware maker, there's a cabling installer, there's other things you have to do. And then you have to maintain the networks over time.

And imagine doing that for like a 10,000 square feet, 100,000 square feet space. And so companies have to pay capex. You're paying tens of thousands of dollars in hardware up front and you get nothing on day zero.

So Meter's completely transformed the model where you pay nothing up front. All the hardware is Meter's and you just pay per month, per square feet. And they take care of all the hassle and also the maintenance.

So you're just like going to a space and Meter takes care of everything. I did 10 years of startups by then. And so I was just looking to figure out a way, how can I help founder in the plural rather than a founder singular.

And I wasn't sure if I wanted to do investing. And so I was very lucky that the Coastal Ventures team and the Node especially were very kind to have me there for a year. I was very open.

I don't know anything about investing. I've done angel investing, but that's very different. Spent a year there and really enjoyed it.

The team is exceptional, they can only say good things. But decided I only wanted to be part of a small fund. Only doing seed and series A. Each investment is like, you know, very few investments a year.

Like I'll have a more concentrated strategy. And so I just joined a new fund called FPV Ventures about a couple of months ago. How big is the fund? Fund is about 525 million dollars.

We primarily will focus on series A, but we'll do some seed and series B depending on when we meet founders. And is there like a sector focus? No, very generalist. And that's what attracted me towards the fund.

Our fund one has everything from biotech, quantum computing, AI chip design to consumer fintech. Very much, the FPV stands for Founder's Point of View. And we mostly care about the founder and the team that we meet.

Nice. And how old are you, Nikuj? I'm 34. And Didi is 32.

32. You're married? I'm married. I have two kids.

And Didi? Not yet. Okay. New Yorker state of mind.

Yeah. Hopefully soon. I have people watching this.

Eligible bachelor. Ah. You live in New York? I used to live in New York.

Now I'm here. Yeah. New York is probably a better city to be single in.

It is not probable. It is 100% a better city. What are you going to do about that? Nikuj, how old are you? I'm 40.

Okay. So I'm a little bit older. Yeah.

Yeah. Tell us about yourself. I spend all of my time with technical young founders.

Okay. Like my real passion is to obsess with technical founders who are building products for themselves. I'm originally from Greece, made in Greece, grew up between Greece and the UK.

I've been in this part of the world, Silicon Valley, since 2009 when the App Store was about one year old. Got lucky upon graduating from Stanford to join General Catalyst. Spent the bulk of the previous 15 years there.

And have been mostly investing in first-time founders who have bold ideas. They're the customers of their own products from all over the world. I spend time between here and New York.

And is there a sector that you look at? I used to look more into consumer stuff. But then what happened is over the last few years made a hard turn towards very young founders, Gen Zers. Right.

And a lot of them have been AI curious. And most of the interesting ones the last few years were like enterprising. Right.

So honestly, I wouldn't care less about the sector. For me, it's like if you're as smart as you sound at like 16, 19, 23, 25, how much smarter can you be in five years? Because the idea will change. The product will change.

The market will evolve. And what do I know? Pre-seed or seed. My own perspective on the product or the market.

I'm not that smart. Is that also Neeraj's team? Do you work with Neeraj? Neeraj joined us with the Venture Highway team a couple of years ago. Yeah, I've worked with Neeraj, of course.

Yeah. Hemant and Neeraj are really good friends of mine. Awesome, yeah.

We end up hanging out a lot. Also because they have the India connection. Absolutely.

Great people. Great people. So what I was looking for today is we seem to be at some kind of a crossroad where the rate of change seems to have gone up in the world around us.

I allocate money. I have, I don't know what I would call it, private equity, venture capital, whatever the term might be. And I've been in the U.S. for a large part of the last two months trying to get allocation to different companies here.

So I'll share with you which those companies are along the way and maybe we can debate them together and if it's the right valuation or not. But more importantly, I want to arrive at how you guys see different sectors evolving. Not today, but 10 years from now.

Where can me as either an investor or somebody looking to start my career as a young man or woman have enough tailwinds that it makes sense to spend the next decade in. Yeah, interesting exercise. Sounds fabulous.

Sounds great. Okay, so should we start with maybe I'll go one by one and ask you guys to name one sector that you should absolutely stay away from as an investor or as somebody starting up for the next decade. Let's start with Didi.

All right, put me on the spot. This is a hard question to answer because I have such a venture lens on this. And when you invest as a venture capital fund, there are certain attributes of a business you're always looking at and you need a certain return profile for this investment to make sense.

So typically sectors that are really tough to invest in are very high capex sectors. And it's not to say that those businesses are not good businesses. They're phenomenal businesses in some cases, but it does not have the return profile that most venture investors want.

And there are exceptions to that and there are certain ways it can be very different. But broadly, I would say it's hard to disentangle myself from that bias. Usually when you're buying up, I don't know, you're buying up tons of real estate, open door is a separate story.

But then it's a tough thing to invest in, for example, as a venture capitalist. Forget the venture lens. Just as an investor or somebody starting a job in an industry, which do you think has the most headwind in the next 10 years? Like somebody emails you from a particular industry, you'll be like, okay, I'm not going to open this event.

I mean, I don't think I have a very strong bent against any particular industry. I'm trying to say, all industries are actually pretty important. There are some that are maybe falling now, but it's impossible to know how they would do in 10 years.

I'll give you an example, maybe it's probably not really going to answer your question, but if you

take something like manufacturing, which is a pretty traditional industry, which may not have much takers in the venture community, there are some fantastic manufacturing businesses that are going to be built, especially in the next 10 years, that have a whole other set of interesting problems to solve. How do you solve a labor problem? How do you manufacture in certain countries? Can you even do that? What does tariffs mean for manufacturing in different places in the world? So I think there's interesting businesses in all sectors. It's really hard, and I don't know, I'm curious actually what you guys think, is often you have to have an open mind as an investor to hear out the idea in a certain sector, because often it's from the places you least expect it that an interesting idea shows up.

So you don't have a sector bias really? Not really, I can hit you with some of the pithy lines of like, who knows what's going to happen to software engineering, but it's not really a bias against a sector. It's just so hard to tell in the future what's going to happen. Nikunj? Yeah, I think some industries don't have the exponential rate of progress that you need to be a venture capital, like a business that can attract venture capital.

And so I think those, you have to realize that venture capital is like... I think we should not fixate upon the term venture capital or private equity. But then I don't think, I think every industry is very interesting. Let's say you have a hundred bucks, a hundred dollars.

Where would you put it? It's a very binary outcome. And where would you not put it? I think anything that is not technology forward, I would not put it. But that's my bias because I've been an engineer, I've been here 17 years.

But does that mean that you can't make money off a traditional, like my dad's a textile, textile industry. He's doing really well. But would I put a hundred dollars, would I put a dollar there? Like it's probably not because I just don't understand that business very well.

And he's surrounded by like mills and other, those are all traditional businesses with very little technology. They're still all printing money. But this is the bias.

It's like, this is why we can't, I can't disassociate venture capital or technology from the way I view the world. Because that's what I understand. You put me in a traditional business, put me in dad's business, I will like bankrupt the business the next day.

Because I don't get the whole, but I do think... Are tariffs helping your dad? No, I mean, it doesn't hurt. Most of his customers are Indian, most of the mills are in India, so it doesn't really affect him at all. But I think from a, so I think for me it's very hard to disassociate technology or venture capital from like how I would invest because that's what I do.

And that's how I view the world. But to Dee's point, actually AI has actually made most industries that were uninvestable suddenly investable. For example? For example, like any industry that's collecting large amounts of data was like, you know, prior, like you wouldn't invest in them

because you would like, oh, there's no clear way for you to understand this data, no clear way to take action on this data.

Now that's become an actual like asset. Because now you can either fine tune models or you can actually do something interesting with them that suddenly unlocks value out of those. And 2021 interest rates spiked up a lot and Chad GPT launched at the end of 2021.

It was the literal perfect intersection because when interest rates rised up, everybody's costs went up. Everybody's costs went up means everybody wants efficiency. Everybody wants efficiency.

What is the only boat that is lifting? Like, you know, what is the only time that's lifting all boats? It's AI. So factories are now asking and coming and begging for solutions that never used to happen before. Long sales cycles, nobody wanted to invest there.

Agriculture, people were like, you know, traditional industry, nobody wants to touch. We're like, what's the tailwind there? And so all of those industries that felt a little bit archaic, a little bit that, hey, nobody wants to touch, suddenly the buyers waking up saying, hey, I want a solution. And so people are rising to the occasion and building things.

And I actually push, I mean, I'm on the opposite spectrum of Didi. High CapEx is actually okay because there's ways to finance it and we're finally finding a way that everything's getting cheaper. Robotics is a good prime example of that.

But I don't think CapEx is the big problem anymore. It's just like, can you find a tailwind in that industry? And that's what makes it good for venture capital. It's very hard to, like, dissect the two.

I wouldn't know. I don't know what I would do without technology. So interest rates going down now will have the opposite effect? I don't think we're going to go back to Zerp at any time soon.

So interest rates might go down like 50 bps, but it doesn't change the outcome that much. The genie is unlocked. Once you get used to high efficiency, why would you do? And then if you look at what Gen Z wants to do now, they don't want to work as a dishwasher in a restaurant.

They want to be the next influencer or build the next business. How are you going to replace that labor? Technology is the only way you can do that, whether it's factory workers or it's back office workers, whether it's, you know, dishwasher. This is the only way that you can do it.

And that's great because suddenly that area that was not investable before has suddenly become, because everyone's a buyer is knocking on your door asking for it. Interesting. Nico? So as an investor, early stage investor, I would just, you know, like, avoid anything that's super, super, super hot.

It's like it's an early investor. Like if it's like something that everyone is going after, if it's an idea that's getting tried now 100 times, it's probably too late, you know, as a very early investor. Of

course, the founders matter the most, as we all have agreed here already.

So if you think, you know, this is the founder or the team that are going to defy the odds, they're going to out-execute everyone else in a very capital intensive, labor intensive, you know, business, go for it. But otherwise, you know, anything that at the very early stage, there are 10 companies going after it, it's probably too late. In today's universe, I would avoid, you know, like doing anything in China as somebody who is U.S. based.

That's not a controversial statement. 10 years from today, a lot might happen. And, you know, a lot might change.

And Nico, what is too hot today that everybody's going after? Do you want to give some ideas? There's so many. Reinforcement learning. Reinforcement learning environments is a hot space.

Reinforcement learning as a service is a hot space. How about some AI Code Gen tools? AI Code Gen is- App builders. App builders, yep.

Receptionists. Yeah, receptionists. Multiple applications of voice for, you know, the same sort of 10 things are pretty hot.

I mean, it's honestly amazing, you know, when you open up your email as a venture capitalist or, like, you know, your X or any other inboxes you have, like, honestly, 9 out of 10 inbound requests you receive, they all sound the same. Like, so if you're trying to do something, it's to break the pattern of, like, everything sounding the same and try to find something that's like, huh, maybe this is different. Of course, it's hard to decide yes or no to take a meeting without knowing the founders.

That's where, you know, where the intros matter or, like, founders that don't have a resume could be the ones that could thread the needle. There's a lot of the very young founders for, like, 16, 18, 23. They might not even be on LinkedIn because Gen Z is not on LinkedIn.

Or if you go there, have a bunch of random internships. And some of my favorite, you know, social media posts that I love saying are, like, the NVIDIA CEOs were before NVIDIA, you know? Denny's. And you see some of these and you're like, yes, how can I find one of those people, you know? Right.

Which are some of the popular companies which are doing the things you said? AI CodeGen, Reinforcement Learning, AI Receptionist. Name some names. I mean, there are Anthropic doing AI CodeGen, but they're pretty good at it.

There's also Cursor, right? Biased. There's also Cursor. Cursor.

Cursor is also doing AI CodeGen, of course. So these are both fairly successful companies, at least so far. What else did we talk about? AI Receptionist, Voiced Applications for the same.

I mean, I can't even remember some of these names. But, I mean, it's not trivial to find a hot space. I mean, if you go on, like, say the YC list, I mean, you're going to find every year has some patterns.

And I guess what Nikos is saying, that, you know, those patterns are maybe the hot ones. I don't want to put words in your mouth. What's the pattern this year? Cursor for something.

Cursor for. So there was a funny tweet the other day that said Y Combinator stands for Y Cursor, you know? The C in YC stands for Cursor. Because if you went to, like, the demo day or, like, the company directory over there and typed Cursor, it could be Cursor for Property Management, Cursor for Investors, blah, blah, blah.

The one crazy space I've seen in the last year is just, like, the AI scribes for healthcare companies. Typically, when you see, you see, like, one move ahead of the pack and, you know, others are just doing. Look at the AI scribe market.

There's at least eight companies I know all doing double-digit million dollars in ARR, all started within the last few years. And all growing double-digit month over month. Just crazy.

Like, you just don't see a market like that. Given the voice side, this is, like, someone just, like, you know, transcribing your notes. This is like a pro, right? You're talking about something you should look at.

No, I'm just saying, you asked, like, what are the hot markets? I'm just saying there are hot markets, but sometimes as VCs, we look away at the hot market because the markets, but the market's so large that there can be six players all growing like crazy. So it's still, like, a market I wouldn't look at now because I feel it's too late, but as an early stage investor. But it's crazy that even though there are these markets where there's too many players playing, there's an example of one where you have, like, many, many players all doing very well.

If you could each identify a trend in AI that is changing, that somebody who is unaware like me does not know, what would you say? One nuanced trend that is changing in AI. There's a couple I could say. I don't know.

Hard to guess what you may or may not know, but. Imagine nothing. Well, one is, like, talk of the town is how much Zuck wants to pay people.

So some people call it, like, engineers being athletes of today, which is interesting. It's not really tech-focused, but it is a theme. The second I would say is, we've run out of public data.

And we talked about RL in a different context earlier, but reinforcement learning has been the primary technique with which models get better over time. And acquiring data to do good reinforcement learning is quite different than how you would acquire data otherwise. So that is

another trend.

So when everybody runs out of data, they create synthetic and keep improving the models? It's not exactly like that. I mean, in reinforcement learning, you basically want an environment where there is certain rewards you can get. Sometimes they're extremely verifiable rewards, in which case it'd be RLVR.

Sometimes they're more nuanced, where it's like text. Like, how do you verify that? But you can use an LLM as a judge to verify that. So there's various kinds of rewards.

But one way to think about it is, yes, you are generating an environment where there's rewards, and you're making the model become better at that task. In a similar way that you would do, for example, when Google did AlphaGo, and you train an AI to learn a game, you have a reward, which is winning the game, and then you figure out the steps in the middle. So it's not really synthetic data, per se.

That is also used, but it's a different step. But that's what I meant by reinforcement learning. Let's see what else.

Number three I think is not talked about enough is China, which is, the narratives around China are interesting, because most people in America, I feel, don't want to even recognize how good these models can be with perhaps far less capital expenditure. They're not spending that much for talent. They're not spending that much in even GPU resources.

They don't have the latest cutting-edge GPU resources, yet somehow they're able to come up with models that are not perhaps the best of the best, but they're quite good. They're frontier, as you say. And so those are just some.

Nico, would you like to add? Did you mention evals? I did not mention evals. Can you explain what it is? Let's say you're an attorney or you're a doctor, and then there's an AI or consultant, and there's an AI model that is trying to replicate some of the day-to-day tasks that you do. There are always some corner cases, some exceptions that the model by itself, even after you train it with all the world's data that's available out there, won't get to.

So when you recruit a consultant or the doctor to take a look at it, they could come up with some of the exceptions and further refine that model. And I think that's a very big market opportunity that's opening up right now. It will be going on for a long time, because you can bring in entire new professions and model them that you couldn't do as well today.

And it's just coding, basically. Nico? I think the recent news that everybody was jumping on was that OpenAI won the IMO gold, and then DeepMind also did that as well. I think that was interesting, but I think a lot of people missed in the details was OpenAI also had this competition where they just barely came second, where they had a single model running for 10 hours straight

with no direction whatsoever.

It was able to reason, figure it out, plan, go ahead, 10 steps back. But for 10 hours straight, it was able to do something. And I think that just blew my mind, that shows what the future capabilities will be, where we're no longer, even if we stop all AI development today, these models are already phenomenally good to think and reason and give us interesting solutions for a long period of time.

And that's mind-blowing to me, that we've already reached here and everybody's just like, whoop-dee-la, walking away next. And so imagine you can throw these models at problems for 10 hours straight, whether it's the bare minimum of doing research on Diddy's every tweet on Twitter to studying a thousand technical papers by the best researchers and trying to find hidden connections between them. And I think that's mind-blowing.

I think this was not the case even two years ago. That's why AI agents sucked, is because they couldn't reason, they couldn't understand. And in two years, just with the models getting better, all of these things are now unlocked.

Whether it's research in the biotech space to astronomy, we'll be able to find new stars. I think we haven't even touched the frontier of what these models can do. And we're only limited by compute energy and essentially data, which I think continue to be the three modes that continue along from the models' perspective.

Anything else? I think everybody talks about AGI and ASI as this one moment. I think my hot take would be AGI is already here, but humans, when we take a Waymo ride, the first time it's mind-blowing to us. And then the next time, you're just on your phone checking Twitter.

I think we're already there with these models today. But these models are smarter than most humans already. And we've just been like, whatever, and walked away.

And I think this is why it's going to be a continuous spectrum where we will claim AGI is not here maybe 10 years from now, but it's already here. In the not-theoretical definition, maybe, but in a capabilities perspective, it's already better. I think another area that's becoming critically important is what is the dataset and the models that we can use to recreate the physical world? In a world where we can have a lot of the robots that would do a bunch of the manual labor that it's hard to hire people for because they don't want to or it's expensive, how do you get to the five nines that you described? And there are not that many companies to use the example of autonomous vehicles that have been taking photos, videos, and other inputs of the offline world, like Waymo, Tesla.

There are few companies. So where else can you find other sources of such data, either real-world data or synthetic data, on the Jeep that's labeled and easily, readily to use? This is a very important space and has applications that can be in defense tech and for all sorts of robotics. So

many, many.

This embodied intelligence space, how you feed them with data is going to be one of the most amazing ones to do business in the next few years. Do you think there's a use case in India for that? For specifically what Nico said? Oh, that's a complicated one. In terms of use case in India, how do you mean? Will self-driving cars make it to India or will there be legalers? Let's say a robot has to make a sandwich.

Does it have to train on some visual data that will be a job for someone else? The training part? It depends. There's a couple of different ways that people do it. There's this whole technique called sim-to-real where you try to simulate it as much as you can, but then it's impossible to simulate the physical world and so then you typically get other sources of data.

And yes, there are some, as far as I understand, maybe you know more, there are labelers that will label this data in various companies and those labelers can be sometimes in India, sometimes elsewhere. In Philippines, that's where scale's biggest market. There are towns where it's almost, and it's like night and day difference, but there are towns where it's light all night and the entire team there is working on some version of labeling.

It could be labeling text, image, video. Last year, I've talked to many startups where they are basically building things that they give to workers in countries where labor is on the cheaper side where they're doing everyday tasks and collecting that data and then feeding it to the model. It just makes sense.

It's like how BPOs exist in these countries. The new BPOs are these labelers who will be basically getting data that these large language model companies need to help make the models better. That's just the next natural transition.

Yeah, I think in many parts of the developing world where labor is really cheap, it might be harder to see some of these applications very quickly because the economics might not make sense. And then the real bottleneck for having robots, you know, accompany us for our daily tasks is that we need to make them. So if you think about the supply chain and everything required to make a gajillion of them, we might have AGI first, you know, before robots actually start attacking us and taking over the means of production.

And the future, you know, might be bright for them, but not as much for the human race. Just wanted to throw this out there because I get a lot of people telling me, who are not as intimately familiar with AI, telling me, oh, this is just pattern matching, this is just the internet, yada, yada, yada. If you look up this paper called Alpha Evolve from DeepMind, it is literally a paper where there are these simple math problems that everybody can understand, which is hexagon packing.

You have a hexagon. How many of one, two, three, four, five, six, up to N hexagons can you fit? And how big is the surrounding hexagon? How small can you get the hexagon and pack all of this

stuff in? And Alpha Evolve has made novel solutions on this problem that haven't been improved upon in 20, 30 years. So, just to be clear, AI is very much pushing the frontiers of human knowledge just in bits and pieces today, and we're going to see more of it.

I just wanted to throw that one out there. What do you think is changing? If you had to predict, think of me as, I am an idiot because I know nothing about this, but I'm asking you to prophesize five years ahead and paint a picture of the world for me. One thing I think about, probably, I don't know how much you guys think about it, but one thing I think about that is not talked about in this regard, and maybe five years is a bit short for this, probably 10 to 15, is just birthrate decline.

I think that's a very real problem. I know it is also a funny problem because there's all these sorts of reasons why it's happening, but it's especially stark, and even if you go as far as South Korea, in two generations, that country may be a tenth or less of the population it is today. It's really bad.

But that has anything to do with AI? It has a lot to do with the economy, and it has a lot to do with AI. How? I'd love to explore this with all of you guys. It's not a very well-formed thought, and I'm not an expert in this by any means, but a lot of economic growth is subtly tied in with the growth of the population, the growth of consumption overall.

AI is no good unless you have somebody using something at the other end. Transactions have to be done for economic value for everyone to be prosperous. And so if we see a world where there's this rapid decline in population, what does that mean for the economy? What does that mean for clothing stores? Are you going to be able to sell clothing anymore, or are you going to sell much less? What happens to the stock of that business? I don't know.

I think that's a less explored problem, but it's going to be a slow burn. But it's something that has- Transactions have to go up for productivity to go up? What if the value of the transaction goes up? It's possible. I think the amount that productivity, there's an economic definition, I guess, and then just the general definition, to go up to counteract this effect is, I think, somewhat unrealistic.

But again, I'm not an economist, so I don't know. And how does AI exaggerate birth rate decline? I don't think necessarily it has anything to do with AI. I think there is- There's a very clear chart.

Essentially, 2009, it started declining. We all know what launched in 2009, which is the iPhone. So it's not AI as much as our addiction to just digital media and phones in general.

People are having less kids because of iPhones? I mean, you can't directly point to it, right? There's no research that is that clear. But it is 2009 across the world. And it's because we're just becoming more and more dependent on our digital, our emotional needs are being satisfied by more on the digital side, whether it's us watching YouTube shorts versus going to a bar to date someone.

And I think AI will accelerate this problem, for sure. Again, I do think we are confiding more in

chat GPT than we talk to our closest humans, including our own partners. And I do think that that has happened.

And there's no way that you can ever draw a direct line, but the trend is clear, starting when the mobile phone came out. Young people now have less sex because they're addicted to their phone. And they don't even know how to interact with another human, especially in the post-COVID world.

You could see it with younger people who missed out on school for like a year or two. And they were having a hard time interacting with other people in the offline world. So when you have less sex, or you end up having it much later in life, and you get a lot of the dopamine from digital experiences, what does it mean for the fertility rate? What does it mean for a lot of the vice-powered industries? In a world where in the US and the West, you have Ozempic doing really well, what does it mean for suppressing other vices beyond just excessive eating? So that stuff is very interesting.

But just think about the second-order effects that are very hard to imagine. Because, for example, to go back to tech with AVs, right? If AVs are everywhere, what does it mean for the economy around gas stations or Costco or anyone who's supplying stuff to parking lots? I have no idea. There might be in this country amazing businesses that are supplying products and services to these sub-verticals.

And yeah, the rate is dramatically accelerating. For the first time, there is a new form of intelligence that is going to be on par or over time superior to a lot of the stuff that we as humans can do. So if you can bore ideas from the world of sci-fi, what does it mean? Does it mean that we're going to somehow fade in the background? We're going to be like the same way that we have pets or cats and dogs? Right now, AI will love us and will feed us.

The AI will assume the means of production, will have universal basic income, will be happy. Maybe we'll start having more sex. I don't know.

Maybe the NBA will have 10,000 teams. Maybe everyone will be a supermodel, do sports or become a poet. But then all the important decisions around running the world, allocating resources, this new form of intelligence is going to make these decisions, take over, and it's going to be the new species that writes the history books.

Who knows? It's a bit like a democracy and a smarter, benevolent, maybe benevolent dictator on top. Yeah. Is it important that we are making the decisions if something smarter is more capable? There are a lot of questions that this question raises here, right? One of the good news is that AI still today is powered with electricity.

So if we're unhappy, we unplug it and we're good, right? Because the battery technology is not that sophisticated. But it does matter a lot. Who are the creators of this super powerful pieces of

software and systems? Because if they themselves are all made of the same cloth and they have groupthink, they won't be able to cover a lot of the different voices that humans from all over the planet and different backgrounds might have.

And unfortunately for the world, tech is moving really quickly. Policy cannot catch up. The hardest thing, honestly, that we face right now is even if you're a PhD in AI working for one of the foundation model companies, you can't keep up with the pace.

This is the single hardest thing. So imagine being a policymaker or somebody who thinks about that stuff all day long. How do you keep up? And the tech is improving in the background.

This is really tricky. Do you personally believe the world will get there? Where we become like cats and dogs in the background? I don't want to believe in that world. But is there a scenario that this might happen? Yes, there is a scenario that this might happen.

But I think I have the more optimistic take, which is like, see, since the industrial revolution, humans have just known to increase efficiency. It's singular. Now it makes sense that you worked at Coastal Avengers.

Every year productivity is going up a couple of percent. And even the internet. But the point being is we've always found a way to do more.

Jobs have come and gone. Typewriters used to be a thing, no longer a thing. Pace is accelerating, but pace has always been accelerating.

Maybe it's just an exponential curve and that's why we're feeling that we're on the rollercoaster, on the edge, and that's why we're feeling it. But I believe in an abundant future, where I believe actually we'll have more time to do more leisureful activities. The workday might go down from 12 hours a day to six hours a day.

And that means we have more time for art and music and entertainment and spending time with our loved ones. That's my take on the situation. That's the abundant scenario.

It's already happening today. If you take way more, right? Before you were behind the steering wheel, now you're reading, you know, it is to its own likes. But this also happened 2,000 years ago.

Say, Greek society, not everybody had to work because they were doing so well. Philosophy was a thing where people sat and spent their lives philosophizing what they should believe in, what they should not believe in. Maybe the world goes there.

No? It will, yeah. There will be 10,000 teams in the NBA, as I said. We're all going to be philosophers and poets.

Maybe we'll have a lot more sex, and we can live like our own version of Brian Johnson, which will live for like 2,000 years. It might very well happen, yeah. I'll be more apprehensive on the abundant situation because I think the abundance narrative, there will always be certain people with less resources.

And as long as you have less resources, you will want more resources. And so the abundance mindset, I think, is a luxury of a few. And there is no way you can convince somebody who grows up from a, I don't know, poverty-stricken family in India, you can't convince them.

Before you go ahead, does abundance hit proportionately to the modes of capitalism when there is abundance? Absolutely. That's what history has time and again told us. If you read my favorite book, Capital in the 21st Century by Thomas Piketty, every time there is growth and development, inequality increases.

I don't think there's very many situations where that's not the case. But he makes a case for that donut economics, right? Like the marginal utility of money beyond a point. Yes.

Goes down. That's correct. But despite that, I mean, I still think we have a very far gap to fill before the entirety of society is above the point where the marginal amount of money means nothing.

I mean, we see it in a little bit, right? There are people who, I mean, I think about this all the time. But also think about this. You were just saying fertility rates are dropping such that countries in two generations will have one-tenth the number of people they have.

So that changes everything too, right? Yeah. But let's talk about that. What if we have the artificial womb? I just had a baby through a surrogate.

I'm in my early 40s. My wife is in her early 40s. Honestly, it's amazing.

I think we need to make having kids cool again. Yes. It's not as much about the incentives, but it's more about the narrative.

So if we're all to become a lot more religious, this perhaps would mean that you would get married earlier. This would probably mean that for the religion to propagate, you would have more kids earlier. Yeah.

So one of the reasons, for example, why in Latin America the fertility rates decline is some of the steepest in the world is because Catholicism in many of these countries is not as cool as it used to be in previous decades. So would you bet on religion making a comeback because it ought to? I think it is making a comeback. Yeah.

And part of the reason is after 15 years being stuck on a small screen and after 20 years of going to Equinox, Boris Bootcamp, or whatever, you know, these institutions are for you depending on

where you live, you're trying to find other places that have a meaning. By the way, there might be an AI religion that gets formed. Who knows that it's going to fulfill the emotional needs that some humans might have.

But yeah, I do think religion is making a comeback. I think it's all about a search for meaning. That's where I go back on the abundant side.

It's like search for meaning eventually ends up coming with people and the byproducts of people, not from a kite's perspective, but whatever we end up doing. And I think if... Going back to the poverty side, I think we live in a place where more people die of calorie surplus than negative. I think that's why Olympic is doing so well.

Obesity is the number one killer rather than... I know that's not what you were trying to say, but I think going back to that point, we already live in an abundant future where I don't think... The income disparity, I agree with. That is my number one fear. But I don't know what the solution there is because UBI experiment has been tried and it'll be interesting to see as that gap goes bigger, what happens.

Yeah, I actually agree with all of your points. My only difference is the search for meaning in the Maslow's hierarchy of need is after a couple of other things. And it's not always just about... It's about, I think, humans' own perception of status and where they are.

And obviously, the food in America is not as much of a problem. Calories is not. But I think we do agree.

I think it's just separate. Okay, so we spoke about... What are you saying? Say it out loud. Sorry, no.

That's okay. It'll sound natural. Only in San Francisco.

Reminded me immediately of The Spy. The way most are going to detect the Nikhil Kamath podcast. We were just talking about... There's a Netflix series called The Spy.

It's about an Israeli spy in Iran. Syria. In Syria.

And the way he gets found out is he's talking on this frequency, with a particular frequency, and they have these cars that are just driving by. And they catch him on that frequency. So it very much reminded me of the way most passing by, causing our frequency loss.

Imagine what must be happening to spy technology in all this, right? Oh my god. Can't even, it's crazy. Everything is watched and heard in perpetuity almost, I'm guessing.

I mean, weapons technology with AI is also not... It's a very investable asset. And people are investing in it. And some crazy things come out of it.

I think we should all assume that we're living our lives in public now. And it's a little bit hard to say that if you're somebody in your 40s or older, but pretty much every second or third building now on the street has some cameras installed. Everyone has a phone with a camera.

You have a city with self-driving cars, there are cameras. With all these sensors, you're living life in public. And then anything you ever say online, in theory, somebody can track it.

So imagine being somebody who is in elementary school right now. By the moment you started using computers, if you created your account, like on the iPod, and now you're using ChatGPT to help you with your homework, and you can share your feelings, everything is getting tracked. I mean, parents are putting their newborn on Instagram.

Your digital identity is already being published without your choice. Without your choice. Now it's just like the moment you push a digital device and any age's hand is gone.

What do you guys do for your kids? Do you have plans to put them on Instagram? I haven't used Instagram in four years. I think one of the thoughts I have, which is hopefully a positive thought, is by the time my kid is going to be a teenager, the iPhone won't really exist in its current shape and form. So one of the things that I'm amazed by, that could be a predecessor to this argument I just made coming true, is when you have really young kids interacting with technology, they do so with their hands or with voice.

And then you put them in front of a laptop, they see the keyboard and they freeze. Like, what am I supposed to do with this thing? Because so far I've been talking to my iPad or my dad is like iPhone. So I think if we're to forward project with new software and new AI-first hardware, how we could interact with technology, the small screen might not be as addictive.

We might actually have it in our brain. Do you think that could become a business in itself? No tech, no devices, disconnected, maybe a real estate project around it? It is already business. So like people here around San Francisco, they would go for like three, four day silent retreats or we don't use technology to find themselves, to clean their souls.

It's already business. And it's going to become more and more of a bigger trend. I mean, for some time, in the first half of the previous decade, Burning Man was that.

Now, sadly, Starlink destroyed it, that aspect of it. But this was a part of what Burning Man served to the technorati of that era. India has Vipassana, which is similar, right? Yeah.

Yeah, sorry? No, sci-fi books, I exclusively only read sci-fi. It's a perfect picture on the future. I think Snow Crash was the book where they basically had these bars where you go in and everything electronic is turned off.

And it felt to people very unnatural and weird because they don't have everything in their brain

recording or intelligent, an extra intelligence layer. I think that's the future people will do to feel human again. So Snow Crash is an old sci-fi book.

What are the books of today's sayings, if you're reading them? I mean, I only read older books. The newer books, obviously, like Blake Crouch is excellent. I highly recommend reading everything he writes.

But reading the older books is fun because it shows you 20 years in the future. Now people are using AI as the base and building on top of that. But Three-Body Problem is my absolute favorite.

I've read it. What does the Three-Body Problem talk about? It talks about everything from interstellar space to how humanity travels to different places. I won't do it any justice, like trying to explain the core fundamental science things, but I highly recommend reading it.

If you don't want to read it, just watch the Netflix series, which is a poor adaptation. But I know people like video more than reading nowadays. It's unbelievably good.

It has a lot of pieces on society, culture, governance, interstellar space to even human emotions. It's very, very, very well done. You brought up an interesting point.

People have an easier time watching video instead of reading because now we're constantly distracted and the push notifications and technology are so addictive and we want to get our dopamine heat. So going back to what we were discussing before, there are these offline retreats, but there are also some applications out there like ClearSpace and Opal and others that help you have a digital detox on your phone. They're all growing.

And all of them are growing. So this is, speaking, it's like evidence that consumers are voting with their dollars to block the most addictive products out there, most often social media products. And there is even a new class of consumer hardware startups that are creating versions of dumb phones with some core utilities because one would argue if you cannot call Uber or Waymo, that's a problem.

If you cannot text your loved one, that's a problem. But do you really need to have all the different messaging apps or social media apps on your phone? Probably not. For the sake of playing devil's advocate, because as much as I love your guys' argument, I want to buy that.

On the other hand, I was looking at the stat for how much YouTube is watched in the world. And if you do the numbers, the final result I got was 2% of all human waking hours is on YouTube. That's an insane amount.

And look, there are some assumptions, so maybe 1%. So that's rising too. So I think I still worry about it because, sure, some people are detoxing, but it's like a vice is a vice.

I mean, you can stop some people from gambling, but there's a reason the law is prohibited. It's

because people are drawn to vices. I was in India for two weeks, and I've seen the rise of Jio and cheap data everywhere.

And I come once a year for two weeks. And it's crazy. It's like the security guy at 3 a.m. in the morning is watching a YouTube video, and it's probably terrible for his eyes.

And I didn't see anybody. Yeah, it's like everywhere, because it's so cheap, data's proliferated. I think the genie is out.

I think it's kind of one of those, we live very privileged lives being in the Bay Area. We can be like, oh, we need to do digital detox, and people are still making money and all of those things. You realize we're making a YouTube video right now.

I know. This is YouTube education section, right? That's a good part of YouTube. It's like having salmon and broccoli, great.

It's not like McDonald's. What do you think happens to matchmaking? Dating apps. What happens to dating apps? We just met one yesterday.

That's what I'm asking. Which one? Ditch. Oh, Nandini.

They will evolve. They do? Probably it will be a continuation of some of these AI products that know everything about you, and they know everything about a lot of other people that might be a good fit for you. And they could be able to make curated intros and could be able to handle the beginning of the conversation so that you get to the actual date.

Because today's AI apps in the West, they're more like entertainment products than actual dating apps. Yeah, I think you get the dopamine from matching, not from dating. Right.

So it's something like 30% of people who are in the swipe left and right, they've never been on a date. And then these products were built for a different generation where people were not as gender fluid. And for example, if I'm somebody who is on the younger side and is bi, just having a straight profile on Tinder doesn't serve me as well.

And the other thing that's going on, unfortunately, is there's a lot of data discrimination that's happening on the dating apps. So something like 8% to 10% of the guys get 80% of the dates. This is really bad news for humanity.

And this speaks to a need that's in the background, like a demand for something new. So for example, if you're a guy and you're not getting any dates on any of the popular online dating apps, the best thing you can do is delete it from your phone, sign up with a new location. Ideally, you input a location next to an airport.

Because over there, there are a lot of people coming in and out. And the algorithm gets rerouted

again. So I think the future of online dating is going to be part of what people are using, like LGBT, to do their homework.

So anyone who's young now and they're just addicted to that behavior, they would expect a similar kind of experience for other parts of life. I believe we'll all have digital twins. It just makes sense.

We already do in ChatGPT and the memory layer. We're inputting so much of our information in there. And so I think dating just evolves very similarly, where why swipe left or right? Where if you're a digital twin, you're able to just figure out from this ocean of other digital twins who's the best match for you.

They do the early conversations, and then you just get to meet them. And you just trust the algorithm to do the curation. Today in Tinder, you're just filling out a profile that has stale data.

But imagine if you could take your deepest, darkest, like all the things that you put in ChatGPT today to do the matching for you. It would be far more effective because it does all the matching. And it's like, OK, then you have a slide that is like, how different do you want them? If you have three different dates, it's like, you know, one's like truly a magic eight ball.

One's like ideally matched to who you are. But is it an industry that you would bet on? You would want to allocate money behind it? There's one of the dating apps in our mentalist portfolio, it's like Raya, which was a good investment. But generally, dating apps today are, you have to have something unique for it to be a good bet.

I think Nico probably knows more, but you guys both are more consumer investors than I am. With consumer, it's just really tough to bet on these things unless you see some element of traction already. You need to know that it works, but correct me if I'm wrong.

And Facebook was a dating product in the early days. So would you invest in the next Facebook that's going to look very different than it? Yes, you would. What is the single best dating product today if you're a very successful person? Probably Instagram.

Because over there, you know, you can slide into other famous people, beautiful people's DMs and they would reply back at you. But over time, you know, these things will evolve. And then I think there's something to be said about offline experiences around dating becoming a lot more desirable for people.

Like in a world where like, you know, the online experiences are very addictive and we have them in abundance, what becomes cars? They're very awesome, cool offline experiences. So anyone who has the means would want to be part of that. If somebody is building a dating app, they should solve not just for meeting someone, but also for the date.

Absolutely. Yeah. So I work with one team called 222.

They're in New York. How do you spell that? 222.place is the website. And what those folks are doing, something very simple.

You're a newcomer to New York City or to LA or San Francisco. You want to meet others. You can go and do a cooking class together or you can go and have like dinner, you and two other friends of yours and seven strangers.

And then alongside 97 other people, you can go to a bar. And people pay their subscribers to that. And it's growing really, really quickly.

So the future of dating apps will be more offline than online. Yeah. And less swiping.

I think that paradigm has come to run its course. So we've established humans could become like cats and dogs. Religion will do well.

Maybe a new AI religion. Fertility rates will drop. And that rate might exaggerate.

We also said matchmaking will change. Digital twin, offline, Instagram is where a lot of people date today. We said socialism and capitalism will move closer to center.

I don't know. I plead the fifth. I think more capitalism.

You know, I visited South Korea this past Christmas. And I went to like a viewpoint where you can see the closest town of North Korea in the military zone. And it's striking to see the difference.

It was one of these clear days because normally there's a lot of pollution you cannot see. So I could see the streets of that town. And in the 30 minutes I was at that coffee shop, I didn't see a single car.

And it was like a shock. Because I was like, whoa, you know, we're just like two, three miles away. And here there is stuff happening.

And over there, you know, were people who happened to be born there. Not because of their own volition. And they're stuck in the ice ages instead of economic growth.

So like there are certain places where you can compare and contrast, you know, the different systems. Sadly still. We also said off-the-grid businesses will do well.

Digital detox, Vipassana, kind of stuff. Video over reading will continue to grow. Video will continue to get shorter.

You'll want a dopamine spike sooner. I mean, capitalism I think will always reward whatever hacks your brain to give you reward immediately in dopamine. And that's why there was a shift to

shorter video.

It's an easier hack for the brain. What if we have like brain implants and, you know, there are going to be ways to hack people's brains or a new form of digital drugs will be invented, you know? Like Neuralink? Yeah, Neuralink. It's one of the companies that are building the brain implants, right? But like historically, you know, we've liked images more than text.

We've liked video more than images. We've liked short video more than like long-form video. But I'm saying if most people, you know, many people have brain implants, there will be new things they'd like.

Would you get one? If somebody were to tell you here, Nico is a brain implant which will increase your IQ by 40%? I'm sure there could be a reason for me to do it. You know, by that time I might have some cognitive decline, right? And I won't like that. No, very like optional.

Like you're okay and somebody offers it to you. If you had said to me a few years ago, you could speak all of the world's languages with a brain implant, it would be like sign me up. Now, unfortunately, some of this, you know, like Ray-Ban smart glasses, you know, are getting there.

So this might not be the use case that gets me. But, you know, if you can have like cognitive superpowers, why not? Or if I could have a part in my head at all times or there's a monologue going on in my head, you know, at all times. Like thinking too many things.

If that, you know, implant can help me pacify it, great. What do you think happens to urbanization? Do we all still want to be in densely populated cities? I think so. Why? Because this has been the case, you know, since the very beginning of humanity.

Like we tend to be in more and more dense, you know, cities. It's great for, we're all social animals. It's great for the planet.

It's great for productivity. If that were true, wouldn't we be one block of people in every country or one block of densely populated people? Why do we have states? Why do different states have different cities? Because the world has been around for long enough. But in many countries now, which, you know, countries was a new idea from the 19th century.

In many countries, you see certain cities where you have like, you know, 20, 30, 40, 50% of the population. But not a hundred. Not a hundred percent.

No, unless it's a very small one like Singapore, right? Yeah. But think of a country like the US. If that was the prevailing trend, there would be one block, either on the West Coast or East Coast, where everybody would live.

I think natural resources matter, energy. There's a lot of other factors also. Climate change also matters.

Climate change matters. Terrain matters. The economy, yeah.

Economy matters. It just doesn't. People choose to leave and go somewhere else.

I don't think it's that simple. Would you bet on urbanization to continue with Nico as well? A hundred percent. Yeah.

But I think it'll continue. But then as the income disparity grows, real estate grows. Sorry, as we get more and more things in the digital world, like real estate actually becomes far more expensive.

Why? Because that's the only asset people can hold on to. That's a real blockchain, man. It's a supply-constrained asset.

It's a supply-constrained asset. But if there are one-tenth the number of people and there's infinite land in the world, why do people... I don't think there'll be one-tenth the number of people. The cycle of decline, does it ever go up? We don't know, right? I think it does, but it has happened.

Declines in civilizational population have happened in the past for mostly war and other sorts of reasons, famine, disease. But this time it's not that. This time it's not that.

I think that part, humans generally fix themselves. So I'm optimistic. It's going back to the digital detox side, right? What if we all live like 120 years, right? Which is believable for folks who are now getting born or they're like 10, 15 years old.

So if that happens, the population decline isn't going to be as quick as we might think it is. And normally for the population to grow, it depends really on the number of fertile women and how many years they have that they're fertile. So that's a constraint that nature or God gave to us.

So what if you could like 3X the number of fertile years that we have today, or we could have artificial wombs? But we all want to live longer. I think most people, if they believe in a better future for themselves, they want to live longer. Most people would say yes.

And this believing in a better future tomorrow is a very recent phenomenon. Before the industrial revolution, if you asked anybody, how do you think you will be five years from now? Most people thought they would be worse off. This is new that we have seen growth for as long as we have in some form or another.

So longevity and wellness as a business, good place to be? Great place to be. This is the first time you've said great this evening. Thank you.

That's my co-pilot right now. What do you think? I think longer term, great places to be and to invest in. I think biotech is taking a lot of interesting strides in terms of drug discovery.

So how do we solve a bunch of the diseases that cause early death I think is really important. There's a lot of cool work going on there. Longevity, I think it's a slower burn.

So I'm optimistic, but on a slightly longer time horizon. Depends on the name, right? I guess so. I guess so.

I am very optimistic about biotech overall. I think the artificial womb thing is interesting for sure, but I think it does cause into question some concerns around how many kids will one person be able to have? Because then it becomes a purchasable asset. Can you have 1,000 kids if you can just artificial womb them? Maybe.

Some people might want to do that. Well, religion has sold for that. It becomes uneconomic, you know, according to most religions to have many kids.

At the extreme ends, though, I think that we could see some interesting things happen there. We need robots to help raise them too. That too.

And this would be probably more expensive. Or you would need a lot more space. Since real estate is becoming more expensive, that's a real limitation.

Do you think real estate will continue to become more expensive? Do you believe in that finite supply? One of the issues that we have in the Western world is that productivity in the construction industry has been stagnating or certain decades going down. So unless we fix that, unfortunately, you know, in most places, real estate will continue to become more expensive. Right.

So we were doing this exercise. At the end of the day, we're all capital allocators, right? All four of us in one way or another. Maybe on the venture side, the private equity side, whatever.

So we were trying to arrive at what statements hold the most value for us. From a rate of change is increasing, world is changing 10 years from now, which industry would have grown the fastest? I'm going to share the statements one by one, and maybe we can all opine. Disagree, agree, rate them.

The first one I'll say is Indian families with rising income, reducing family size, will invest in premium education. Outcome focused education will take preference. What do you guys think? Great.

Only this particular? I think in general that will happen. Yeah, I'm just saying Indian because we were sitting in India doing this exercise. Nico, do you think everybody will spend more on education? No, but certain cultures like in India or in South Korea, or where I come from in Greece, they absolutely do because they see this as a viable path to improving their chances of their offsprings doing well.

In the US, the average person does not care about spending money on their kids' education. My kid is bad at math, the teacher is bad. That's changing.

Why is that culturally? It's an immigrant nation, and everybody has become successful in the recent past. Didn't they distinguish the successful from the unsuccessful also through the lens of education? Who is they? The American people. You know, you forget.

When you made it to the top, often you forget. And for a lot of folks, this is not priority number one. If you're like an immigrant yourself, or you're somebody affluent, you of course do care a lot about it.

Yeah, every society in the past that has achieved pinnacle status has always shifted to arts and culture as their way to spend time, whether it's sports or something else. And in America, it's a very sports-oriented culture, more than it is an education-oriented culture, like you said. I don't know too many, you know.

Can I ask you guys to give it a rating, 1 to 10? This one? Yeah. The education one? 8 or 9. Okay. Same? I'm like a 10.

You come from a country that's on the up and up. Yeah. Okay.

Nikunj? Outcome-focused education, yeah. It is the future. 9. Okay.

Secondary markets for private companies will become a big thing. 10. Again, these are moments in time, right? Because there are moments when regulators and the incentives are aligning for public markets to be open and to welcome companies at a much earlier stage.

There are other moments that this is not the case. So at the moment, you know, we're living during a time where a lot of the value is captured by private investors on the way up. Like you now see quite a few companies that are worth $100 billion plus.

Whereas back in the day, you know, this was not the case. Like when Facebook went public and was valued on day one over $100 billion, I think they were the first ones ever, you know, to do that in 2012. And now you have multiple.

Tomorrow, a lot more really large companies will want to avoid a circumvent, taking retail money because they'll have to be overregulated if they do? If indeed, you know, they have to be overregulated and they have a choice because they can get funding from other places, yeah, they might avoid. But if we bring down the regulatory constraints or capital from other sources becomes more scarce, this could be an option. For me, you know, somebody who lives in the U.S., it's actually sad that the retail investor, the pension funds, the low fees, ETFs cannot have access to some of this wealth, you know, sooner rather than later.

It's sad, 100%, but I don't think it's changing anytime soon, right? At the moment, it looks like it's

not going to change anytime soon, yes. Yeah, it's like eight or nine. Access, I think if you think about imbalance in the future or disparity, like access becomes the primary thing that only a few people have and that's the sad aspect.

And access will be gatekept. Yeah, access will be gatekept. And I think that's the sad aspect.

But do I see it changing anytime soon? No. The incentives are just not aligned. Do you guys want to read the statement, Nico? Secondary markets, secondary markets, marketplaces.

They're going to be strong forever? For the next 10 years. Yeah, I think it's a five, yeah. Five? Yeah.

I'd say 10. 10? I don't see it changing. Nico? Let's flip the middle, take seven.

I think it'll change. I think it'll change in the start of next decade. The world will be older and sicker.

Wellness, hospitalization, longevity, great sectors to be in. I think they're two different statements, in my opinion. Explain.

I don't think you... I don't believe the world will be older and sicker. Why not? I mean, we're constantly improving. First, I believe, as Dede mentioned, biotech is the application area where I do believe us discovering new things will be the most.

Literally, one sector will discover the most things where AI will be useful, it's biotech. And I think that will help transform most of the common diseases, why we die. I mean, Ozempic is already doing with obesity, which is a huge factor.

So I do think we'll live longer and healthier. But I do think that will take investment. Longer and... That is agreed.

World will be older. If we live longer, world will be older. Yeah, so that's right.

So older and not sicker, yeah. And then average, do you think we're median happiness years? Let's put it in a philosophical way. No, I'm more thinking how many people are sick at one point of time because money can be made by treating them.

How many people? Do you want to answer? Go for it. I was going to be pretty strong on this one. I mean, just again, this is a side effect of birth rates decline.

So as birth rates decline, the demographic imbalance will switch to having more older people. I think, yeah, you're right. I mean, you have to debate the baseline of what sicker means.

That's what I was thinking. Generally, if you're talking about the world being sicker because there are more older people and older people are generally sicker, yeah, I mean, that is factual. Well,

so we've just come out of COVID.

After many, many decades, we had something like that. Maybe there'll be more. Perhaps, but even without that, I would say the world is, older people get sicker, people will be older, therefore people will be sicker, and then longevity, wellness, and all of that, very important stuff.

Also because of how connected we are right now when something transmissible comes about next. We don't get it much faster than we did historically. That's why I say sicker.

Like I was sitting with somebody from Moderna last week and they were saying we got really close with bird flu, but the world has gotten to a point where if I have something which is moderately infectious, the odds of the last person in the world not catching it are low today. But I think we'll be able to come up with an antidote faster and distribute it faster also. I think that's the corollary that I don't think we get.

COVID would have been much worse without mRNA, a lot of these things that didn't exist like 10, 15 years ago. And I think that pace is only going to accelerate. That's what I was trying to understand.

I think the acceleration of us making things better. Let me put it more specifically. I think the ambiguity goes away.

In 2035, I'm reviewing the portfolio that is being invested in today. Will the business of treating sick people have done well by then? I think we're rating that. I mean, in the U.S., it's already what, 19% of U.S. GDP goes in healthcare.

That number will go up? 100%. Yeah, that. The number will go up.

Does it mean it's a good business? Yes, exactly. Because if you are in healthcare services or you run hospital stuff, most of them are not great businesses. However, if you find ways to bend the coast curve, oh my God, amazing.

All the trends are on your side. I suspect there are better businesses outside of the U.S. because the U.S. has a problem which is very unique to itself. Right, that's right.

Like the multiples of hospital companies in India are like 100 times. Especially if you've been able to build a brand around it. Do you like to rate this, Nico? Older, sicker world? I think older, yes.

Sicker, it's a definition thing. But is this market going to become much bigger between now and 2035? Yes, it's like a nine. Nine.

Nikunj? Eight. Senior living. This is something we invested in, funnily enough.

Me and Hemant did this deal together. We did a couple in senior living. Were you part of that? I'm aware of it, but I was not part of it, no.

Thoughts? The world will be older, senior living, affluent senior living. Some of the fastest growing cities in the U.S. are the villages in Florida. If there's something to be said about that model expanding to other countries, I think this one has very awesome long-term prospects.

Especially in the developing world, people become more affluent. Their kids are fewer. They don't live with them, but they move for economic opportunity in other parts of the country or other parts of the world.

You need this UAIDS to be close to other elderly people and or individuals who are going to be able to help you. This particular deal we did together is a company called Primus. The data he was showing us is if a 70-year-old man or woman is at his facility, which is a very affluent, high-end senior living facility, the quality of life and the longevity of their life goes up by a significant premium because they have community.

He showed me this really crazy research. When my dad was sick, I got him a nurse. Then he didn't have to do anything.

He didn't have to move. Somebody was doing everything for him. That's the worst thing you can do for your parent.

It's very counterintuitive, but I think just that community, having to play with someone, having some competition being organized, playing memory games, walking, all of that, with like-aged people changes everything. Absolutely. If you read about Blue Zones, which are the different parts of the world where they have the highest percentage of people who are 100 years old plus, the shared trait that they all have to demonstrate is community.

Like in Okinawa and Japan and Nicaragua and Greece and other parts, you're somebody who's 100 years old, your kids might be dead or incapacitated, but because every day in your village you're socializing and you feel like you have responsibilities, this is what keeps you going. We detect this highly in India, even though there is such a big societal stigma about senior living. I think the misconception one has is at a certain point with your parent, you're almost being selfish by keeping them at home with you versus allowing them to make more choices of their own.

Right. It's a hard thing, especially in India, to overcome. I don't know how it's in Greece.

Same. Because in Greece, again, the standard of living went up and then the cost of labor also went up. What saved a lot of families was Eastern European labor talent that visited the country and stayed there as illegal immigrants and then got legalized.

But in the beginning, if you had your elderly parents sent to a senior living facility, everyone would look down on you. So the preferred choice was to have somebody from Georgia or Romania do the work for you. But then you realized all the stuff that you mentioned, that your dad or mom

wouldn't interact with anyone else, the cognitive decline would be faster.

So now, after 30 years of doing what I said, some of the much better senior living businesses are looked at more nicely or favorably. You guys want to comment on senior living? Would you send your parents? It's a tough one. There is some bias against it, as you said, but maybe that decision will change over time.

I think it depends on what they want to do as well. I do think in my particular case, I'm lucky that they have a good community already at home. So that does solve a bunch of the problems, but who knows how this goes.

But generally on your question, in the U.S., very much. In the rest of the world, slightly less, just because there's different dynamics, social, intercultural dynamics in different parts of the world. There is also taboo and things like that.

So I'm not as sure. But in America, high. Nikush? Yeah, I think it's not a question of me sending our parents.

Luckily, my parents and my grandparents live together. I think that's nice from a community standpoint. And that's very rare.

Not many people have that. Yeah, we're very lucky that everybody likes each other. But it's not a question of me sending my parents or not.

It's a question of them choosing what to do. At the end of the day, we're three brothers who all live in separate houses. They live in their own house.

What do they want to do? I think it makes sense. I think both from a community standpoint, but as labor gets more expensive, like economies of scale standpoint as well. It just makes sense for more people of the same stage in life to live together.

Would you guys like to read the statement? Niko? Senior living? I'm like a nine. Eight. Yeah, nine.

Like, unless they're like infectious diseases like COVID, you know? Yeah. Senior living facilities are going to do really well. I know some of these, like one of them with Primus, their plan is to have golf carts and you drive around inside the community.

It's by a lake. It's not like living in polluted Bombay. It makes a huge difference.

Like just the air quality alone changes so much. Air quality is one of the biggest killers in the world. One of the reasons why people are having liver failures is because of the air pollution, you know, where they live.

That's one of the biggest health risk factors for life in the world. So any technology that's helping alleviate air pollution or making gasoline cars and other such things less prevalent will do really

well. The next one is content.

The theory we were discussing is with search being disrupted in the manner that it is and people, let's assume, use Google a lot lesser or any kind of search platform that is throwing up ads. And if anyone wants to build a brand, social media might exist in some form, but Google ads and the likes of that will not work. So to be able to build a brand, you have to be able to hold attention one way or another to some form of content.

And video is working right now. So the alpha between a brand that does well and a brand that doesn't do well, content is going to be the biggest differentiator. That's the premise, yeah.

I very much agree with that. And like for every generation, if you know how to speak whatever, you know, the medium where content gets viewed is fluently, you can do really well. So for example, there is, you know, that Spanish olive oil, Grazia, I forget what it is, you know, that became like a $70 million plus, you know, business in a couple of years, just because they know how to appeal to young people.

Or like, are you today a hacker? Do you know how to speak X? You'll do well. Are you a young consumer founder who knows how to speak TikTok? You will do well. Yeah.

And, you know, in a few years we'll be something else. I don't know what that it will be, but whoever knows how to play that game well, this is golden. Attention is all you need.

I think Didi is doing well at that. Absolutely. You're doing pretty well yourself.

Absolutely. What are you going to pivot into with all this attention that you have? I don't do content for, you know, any practical purpose, which is why I've never went into things like video. It's like saying I don't make money for any practical purpose.

No, no, it's not the same. It's like, you know, everyone's presumably got an education with some goal of having some job. There's other reasons to do it, but having something.

But I genuinely don't think I ever did anything online to get an audience or to have money or to have anything. Otherwise, I mean, what I would tell people is like, yeah, if you want to do content just for that purpose, then there's always easier ways to do it. You do humor.

You do hot topics. You do very debatable, questionable things. And I mean, some would argue I have done some of that, but not much.

I think that kind of content gives you a different kind of attention. The kind of content you're creating gives you trust. Relevancy.

Relevance. In a way, trust. When I first started, one of my first kinds of things I would post about is just immigration, and the only reason I would do it is because I found myself telling all my

friends the same thing over and over again.

So I'm like, let me just write it down, and then you can go read that. And so I don't see it as, for me at least, it was never meant to be a business. But to the statement, I mean, Nico definitely knows about this trend, but there's so many of these 16, 17, 18-year-old kids who out of nowhere, they come up with an app.

But I think they're being brilliant. I was doing a call with Sam Altman, and he told me the same thing. I was like, what should young people do? He said most of them look like they want to be influencers, but I think they have the best idea ever.

Being influencers was the best idea ever? By creating content, because you're capturing attention. And if the attention can age, I don't mean tenure in the sense of it becomes old, but as you grow older, if your viewers grow with you in age as well, you keep their attention for a long time. Like look at Taylor Swift.

It's insane, right? She could soon be the richest person in the world. I wouldn't be surprised. But then what I was going to say on the app one was it's not even them trying to be influencers.

It's them actually figuring out how to do their own marketing strategy at an almost nothing cost, right? What they will do is they'll pay off other people on Discord to make TikTok videos and then have some commission-based agreement. And then these apps are making millions and millions of dollars of money, of revenue, and they're sitting at home in their parents' garage going like, okay, well I made all this money and I spent nothing. So I think it's not them being influencers, it's them figuring out how to tap in to the ecosystem to get distribution for the thing that they've built.

Because what they identify, at least the examples I'm talking about, what they identified is all of these apps look the same. The only thing that matters is distribution, so let me go to the app store, figure out all the apps that are basically commodity, make my own, and then figure out distribution. That's my money.

Storytelling matters, right? Storytelling matters. We're all suckers for amazing stories. So whoever knows how to tell a story in a very compelling way and get a lot of attention for it because they speak the language of wherever stories get shared at that moment in time, this is super powerful.

I'll take the other side. I think in the last three years there's been almost too much attention on attention. While I agree content helps you grab attention and attention spans are declining, I think there's too much empty calories.

I mean, same audience. I think we can get it more from the lens of, let's say Nikunj Tomorrow is starting a chocolate brand or a t-shirt brand or any kind. Most of an economy is consumption, right? 60-70% of money spent in the US is on QSR restaurants.

Say you start a fast food restaurant in America. How do you find your audience if not for content?

So my push there is like there's two legs to a stool. There's too much attention on attention.

It's like can you get people in the door? But what is your way? Let's say Nikunj Tomorrow starts selling some version of McDonald's. The best way is to have the best product. Even then, how are you discovered? Like how traditionally everything has been discovered, which is word of mouth.

I think there is still power in that. I'll give you a good example. Swati's restaurant in Ahmedabad in Bombay.

Same food, I go there every year and it's always full. And they've spent zero dollars in marketing forever, even in today's day and age where there's a million restaurants. That restaurant is full every day by 5.30pm or 9pm.

And because the product is still phenomenal. But what are the odds of that? For every Swati that succeeded, how many did not? That's why I said there's two legs to a stool. I think there's far too much attention on attention.

Especially in today's economy. Everybody wants a Twitter viral launch video. But the product fucking sucks.

And I don't think that lasts. You look at the churn numbers. The product has to be good regardless.

No, but that has changed. Nowadays there's so much attention on attention that people are discounting building a good product. Kind of like Didi said, in a white-labeled world where you just have to build an okay product and its distribution matters.

I think that will peter out in the long run. Won't the quality of, with increased productivity by virtue of AI, won't the quality of a product get democratized to a large extent? I don't know. I think it's the 10% problem.

The last mile problem will forever be there. This is why Jiro still builds the same sushi 80 years later. Kind of continues to do that.

I do believe, this is why I'm thinking the opposite. I think there's too much attention on attention. I do think you need eyeballs.

Nobody comes to the restaurant and what's the point of building a restaurant? But I think the product needs to be phenomenal. In this AI age. Otherwise it's just slop.

That's what happens. When TikTok trend goes viral, 20 people copy it and 20 people copy the same app. There is no differentiation.

And then you build a little bit of value. But the only compounding value is retention. Can you build a retentive product where people come back and that only comes with quality? Think of some products that come to mind that have done really well at mass scale today.

What do you buy often that you think is a spectacular product? From a differentiation lens. Digital? Physical? Apple? You buy iPhones, yeah. Is that because of the product? Or is that because of the attention? It's compounding advantages.

There's no attention. What does Apple spend money on? They spend money on ads. Comparatively, compared to their gross margin profile, their marketing spend is very low.

I'm not disagreeing with you at all. I think this is obviously true that you need retention and you need growth. But that's changing though.

Last year, more than ever, I have felt this changing. You think people don't focus on retentive products? Yeah, they look at Mr. Beast feastables. The only reason it sells is because of attention.

The product, I've had it. It's horrible. Horrible for the kids.

Why did you try it? Because I was just curious. But again, it's two legs to the same stool. I'm just saying there's far too much attention on one end.

I think I'm focusing more on discoverability because you get to that point and then comes the question of retention. You need attention because now in a sea of the same, how do you differentiate yourself? Content will always be the differentiator one way or the other. But I think it's going to be a revolving door if you don't focus enough on the product.

The pendulum is swung on the other side is what I'm trying to argue where I think it can go back to we need both, one or the other. I'm looking at the last five year bucket as the bucket of performance marketing where you gave Google money to show your product in different places and you paid for the number of clicks. I'm looking at what is the next transition from that.

Discoverability, especially like consumer, it's all TikTok because it's the only free channel left. But if you build something that grabs attention, you get a lot of attention. Everything else has become pay to play.

Should we rate this? Content, importance of content and building a business. Nico? For anything that's consumer facing or prosumer facing, discoverability, it's a 10. Didi? Without that caveat and I would say 8 or 9, fairly important.

Not the only thing. It's a 7. Important but not the only thing that's needed. Do you guys see a world where David is winning against Goliath? People don't want to buy from corporations but they want to buy from individual brands? Yeah.

We're in the business of backing David. Yeah. I think this is happening more and more with offline experiences.

In the universe of tourism, you want to have the bespoke local artisanal guide or the hotel that has its own story or go to the restaurant that's mom and pop. Do you feel like this happened because the last 10-20 years, we bought products behind a corporation because trust was so deficit in society that we didn't know what went into it. Today we care less about trust and we're buying artisanal, handmade, we're buying into individuality again and is that a trend that's here to stay? I do like how you framed it and it depends on the society that you live in and your economic participant.

I would also add that very often you don't want to be buying the same brands that your parents were buying. It might be the case for detergent but to go to the same hotel chain that they want, it's not as cool for you. Every generation has its own cool brands, experiences that they resonate with.

A lot of the large corporations at least in the West have lost a lot of their brand equity with the youth. Generally the question of David versus Goliath, you always, not in every situation but Davids are a great bet to make because Goliaths are usually bigger businesses, they have established practices, they lose their eye on the ball, they're focused on managing things at scale, sometimes reducing cost, so maybe not just the hotel example but even for many other cases most businesses do not have any systemic effects of scale that can't be disrupted in other ways. In many cases I would definitely bet on the David versus the Goliath.

Of course there are other cases where that is not a good bet but yeah, older businesses will get disrupted generally for most industries. Any good thoughts? Cycle of life will continue. Big gets too big, too horizontal, not enough depth, small has that.

From a consumption perspective I think people will continue to stay away, which means they want the new thing, they want to differentiate themselves and that will continue to want them to do whatever version of art is. Perfect, want to rate this? I just have four more and then I'll tell you how much you rated which one and which is probably a good sector to focus on for the next decade. David versus Goliath, Nikunj? 10 is pro-David and 0 is pro-Goliath, correct? I'm like an 8. I would say a 7 because there are some places where scale definitely matters but in many cases they don't.

One good example is in tech where you see something like 6-7 companies that created the bulk of the market cap, if that's a way to measure it, over everyone else in the last 30 years. I had this thesis two years ago that by virtue of cost per mile or kilometer, most vehicles will become EV or hydrogen focused in a very short period of time. So I spent two years investing in everything from electric scooters, electric buses, trucks, even a flying electric taxi company.

When I look back at it now, a lot of these bets did play off but the adoption to EV seems to be slowing down and subsidies are being taken away not just in the US but also in countries like India and other places. What do you think is the future there for 2035? Adoption of electric vehicles and hydrogen versus IC? I think for somebody to buy a vehicle in let's pick a neutral country, that's not the US, it's not China, but one in Latin America or a smaller country in Europe, the consideration would be what is the cost, how often would I need to maintain it, what's the cost of ownership and you actually do see that a number of the Chinese car manufacturers that make EVs that here in the US you don't see on the street are actually winning. They're far ahead.

Because the price and the total cost of ownership is pretty awesome. So when I visited different such countries over the last few over the last year like in Colombia or like in Portugal or like in Greece, I was seeing car make brands that I had never seen before. Then I was googling them and they're like massive.

So do I think this is a trend that will continue? Yes, I do think it's a trend that will continue. Might not be everywhere but in a lot of countries. Because people want to have a car, it's a means for them to unlock more productivity and get to work and make more money.

I do think this is a trend that's not going to stop. I'll give you the number in India. If you buy an EV scooter, it costs about $2,000.

If you buy an IC scooter, it costs you about $1,000. But if you ride the scooter for 40 kilometers a day, on an EV scooter you save $500 a year. Cost of running.

And much easier to maintain because the number of parts are exponentially lesser. But still adoption is not that high. Why do you think adoption numbers have slowed as much as they have in the US? Can it just be because the Chinese are making spectacular EVs which are years ahead of them and they don't want to even compete in that market anymore? Why did the subsidies go away? I don't think you can buy any of the Chinese EV cars here, right? No, you can't.

That's the biggest issue. If we were to truly operate like a free market, I think we would be doing really well. The same in India.

You can't buy Chinese vehicles. Are Americans not buying American EVs because they can't buy Chinese EVs? It's just a cost thing, isn't it? It's cost and convenience. There's not enough chargers and it costs too much.

If the cheapest car was an EV, everyone would buy an EV. Do you think that'll change in the next 10 years? What percentage of cars on the road in 10 years will be EVs? In America, I think it'll change and that's primarily because of Tesla. That's the only car company that moves fast and so if that's the only car company that is allowed to operate, then they will figure out how to get the cost down one way or the other.

Do you say 100% of cars will be EV in 10 years? I don't know about 100%, but I would say a majority of cars will be EV in 10 years, in my mind. A good proxy would be what percent of cars that are getting sold today are EV, right? This could tell you how the future might look like. 20%, sub-20%.

I don't know. If that number is accelerating... It was accelerating, but the pace of acceleration has slowed down. Part of it is incentives, part of it is the economic cycle.

Whenever there is a slowdown in the economy, the used car market is doing much better than the new car market. When we had the disruption with COVID in the supply chain, new cars became more expensive and harder to buy because you would have to wait for longer. Do I think that EVs anywhere in the world are going to be the majority of cars over the next 10-15 years? Yes, I do think so.

I think we dramatically overestimate how fast people will adopt new things. Cars are a big asset in the country. It's like saying America will build 10 million homes.

We won't. It's just harder. The US, especially from a market perspective, the used car market is massive.

It always has been boom or bust. It's very hard to just change it. New cars will be built, but they're far more expensive.

In 10 years, one could argue they won't be more expensive. They'd probably be cheaper. They'd likely be cheaper.

If the free market depends on where you're sourcing it from, does it have to be US-made? Then no. If free market existed, I would be very pro. I have two EV cars at home, just to be clear.

I would be very pro that we'd see 10% of the market be EV. Otherwise, it'll be a slow trickle until these cars go out of life. Another vector to consider perhaps is in places where we have a lot of autonomous vehicles adoption, if indeed the total cost of operation for an autonomous vehicle is EV first, then that's another market that's going to be growing very quickly.

Want to rate it, Nico? I think I'm at 7 or an 8. 7. 7 to the statement that by 2035, majority of cars will be EV? Yeah. America? No, worldwide. Oh.

7. Probably less. It depends on China, India, Nigeria, Brazil, Indonesia. I think those countries will adapt faster because of efficiency.

The amount of energy lost between generation and endpoint usage is lower in EVs and people will adopt there because the cost to travel per mile will be lower. What if I were to say to you, not in India, but in China, user pollution problem, the Chinese government says, hey guys, from now on, you want to buy a gasoline car? No problem. It's going to be 50% more expensive.

The same is happening already. In India, many cities are saying that if you're bringing a truck into the city, if it's not EV, it's not allowed. That's another vector that pushes demand even further.

But then why only 7? Because I'm not as fluent in the exact numbers and it depends on these 4-5 big, very populous countries. Right. I think if it's new cars, 100% new cars in 2035, yeah, that'd be 7. It's for new cars.

I was thinking 8 total cars. Let's say for new cars. I'd be like 8. Yeah, I'm like 9. Same? Because I was thinking the average lifetime of a car in a bunch of countries, 12 years, I was trying to do that math.

You're doing the VC math in your head. 9 as well? I think 8, primarily because especially in the US, with the conservative government, oil and gas is not going anywhere. It'll take a long time for us to move.

From a politics perspective, EV first is not going to be very popular for the next 6 years. But from a cost perspective, the cost of everything else compared to fossil is falling so quickly. The problem is batteries.

Again, it's like American choice. I can go fill up my petrol pump wherever I want. I can go to a gas station.

I can have this, I don't want to wait for 45 minutes. Battery technology is not evolving fast enough. I'll give you an example.

We invested in this electric truck company which has interchangeable batteries, like battery swap. The largest company which does battery swap in the world is called Sany in China. So these trucks drive with two batteries at a time.

They go to something which is as small as one container box and the batteries are swapped in the same amount of time that it would take for you to stop at a gas station and fill fuel. Each battery gives you a range of 700 kilometers. So two batteries together let you drive 1400 kilometers.

India, end to end, let's say is, I don't know, 4000, 5000 kilometers. What that means is the number of petrol stations that you require in itself come down exponentially. You probably only need 50 container size stations across the country to get these trucks to go across the length and breadth of the country.

I think the model is changing significantly, even for a country as broad and wide as India. I think replacement, as you mentioned, like eight, I won't be at ten because there will still be choice and people will choose. It takes a while to flow in.

Like even today, I disagree with DD. Charging stations are good enough. In America,

infrastructure is already there.

People are still voting to not buy EV cars even though they're cost appropriate. It just takes time for people to change. Okay, point number eight of ten, beauty as a category.

Beauty products. Ten. Yeah? Same.

Beauty and content are in line with each other. Look who are the wealthiest people outside of tech. Anyone who's in beauty and luxury.

Luxury. Luxury also ten? I was saying who are the wealthiest individuals or families outside of technology. Anyone who's in beauty or in luxury goods.

Should I just add them and make them one? Beauty, luxury? If we want to take a glimpse into the future, we would go into South Korea where indeed they have one of the lowest fertility rates in the world, but they're massive exporters of culture. Over there, if you're a man, there is more than 50% chance that you use beauty products every single day. Again, this guy's population will shrink, but if everyone who's like 80 years old looks like a 50 year old, that's a good trade for most people.

And the surgeries in South Korea. We've been ideating what to build in beauty. We're going to come up with something.

Any ideas? What could work as a product category? In beauty? Like beauty gives you confidence, right? If I want to build a brand in beauty, like we have a team which does a lot of consumer brands that we run, not just invest in. If we build for beauty, what do you think could work in today's taste cycle? Can you help me eliminate my wrinkles? Right. I would pay for that.

Can you make buttocks 90% cheaper? I would pay for that. Right. Anti-aging? Anything anti-aging that's more easily to get to and cheaper.

I think for men to make it more accessible and cooler with content, you could do that. You could do that too. I have the opposite take.

I think I would build a very high-end, luxurious brand for the top 10% of Indian males. For Indian males? You're talking about India, right? Not necessarily. I'd take the opposite route.

I'd take hard problems like anti-aging. I'm guessing you fall into the top 10%. Would you buy? Yeah.

What would you buy? Makeup? I think this is where the other aspect is invisible. What is invisible today? Is there an invisible foundation that makes me look five years younger? You would. I know nothing about beauty, but I think all of these things are credible.

I think there is a gap in male beauty, but I think women are obviously the primary consumers of

beauty products, so there's a lot you can do there. I just know nothing about it. Most people take it.

It's a beauty product. They don't want to be on a diet. I know a lot of people like us who are in their 30s or 40s.

They've never had any issues with their weight, but they don't want to be on a diet. They want to eat everything. It's a beauty product.

I'm guessing longevity and wellness you guys will rank highly as well. Tenths? It's a question of affordability, so it would be a nine. Longevity and wellness? For you? Yeah, I think at what price point matters, but as a category, yeah.

Nine or more of an eight. Anti-recession. Have you guys ever taken a flight that's connecting through Istanbul in Turkey? Of course! What do you see there? A great airport.

Isn't that freaking insane? Where was that industry 10 years ago? It wasn't there. It now, thanks to TikTok and content, it has become like a global destination. Live events.

Concerts, theaters, plays. I would even put something like a high-end restaurant as a live event. I think the nature of live events is shifting to people want to advertise that they were at a live event on their Instagram predominantly.

I think that's the main purpose for most people that go to live events. Or others do it on your behalf and you lose your job, as the whole world learned last week. Everyone wants to go to a good Coldplay concert.

But generally, I'm more neutral on live events because I do think attention capture is going to be more massive on digital. There is going to be a smaller set of people in my mind that want to go to live events. Net volume? Maybe not number, but the net volume of time spent at a live event, I don't really have a strong view that it goes up.

I actually don't know. I think most live events historically have been like shit businesses to run, but in a world where the offline experiences become the scarce, in a world where we get tired of being online in front of our screens for 14 hours, there's going to be a premium. You mentioned Taylor Swift.

There's a reason why she's a billionaire. She's figured out how to make so much money from her super funds. To the extent more and more Taylor Swift exist, which I think will be the case in the individualistic, driven society that we live in today, live offline experiences will do really well.

It could be a restaurant. What if the Japanese sushi chef you mentioned was more capitalist driven? Wouldn't you want to do it in front of a massive arena or tour the world and do it? Maybe. Scarcity matters though.

Scarcity will never go away. Scarcity will never go away. Desirability comes from scarcity.

What are the rate live events? Nico? I'm liking an eight. Okay. Five.

I think philosophically I want more live events. Short term, it's like a six. We'll move towards live events.

Again, they're mostly shit businesses, but look into what happened with the World Cup for the clubs for soccer in the US. This was a brand new revenue stream out of nowhere. The winner pocketed over $100 million, Chelsea.

We, the Europeans, are snobs and we don't care about it, but if the numbers go up, which is likely in the future, would you pay attention to it? Probably you would. But I'd bet still that digital coverage of soccer will have a higher percentage from an eyeballs and viewership perspective, percentage of time perspective, than live events. But supply and demand comes in there, right? The supply of digital is for everyone.

The novelty of live is... Yeah, but I think that's what we're betting on. My way of getting a score is, what do they think percentage of time goes up in live events versus digital? I would bet screen time goes up higher than live event time. And then my response to you, I think there's more concentration in live events, but not necessarily net volume increase.

I think more people gravitate to the Coldplay concerts, the Taylor Swift concerts, and the Chelsea game. But I think most events that are not places you want to be seen are not that interesting to most people. If you look into most ticketing businesses that serve the long tail, they're really shit.

They can't make money, nobody shows up, people don't pay. Yeah. Okay, last one.

Climate tech. What is climate tech? What's the definition? Carbon capture. The thesis behind the statement is someday soon, I mean, it could be carbon credit trading.

If there were one large event where say 10,000 people die, say there's a flood in Miami, the water levels keep rising, suddenly everybody will go back to climate and start taking it very seriously. Climate tech could even be software. I'm part of this group called The Gates Pledge, where I think your colleagues, a couple of them, one of them is there.

And there was this professor this year who was showing a model that he had built where the base case is the world's temperature will rise by 1.6 degrees by 2100. And what can you tweak in the software that changes it? Is it a carbon tax? Is it a lesser amount of coal? Is it more allocation to nuclear? There are funds like Breakthrough Energy which are working on this. So all of this somehow comes into climate tech.

Yeah, I mean, we need to do something about it. The challenge is that for many humans, it's hard to relate. Even if I live in Miami and there's a huge flood and I lose my home, then I might move

somewhere else and I might forget about it.

Or my local politician, you know, who is responsible for coming up with subsidies or incentives, that stuff doesn't get them necessarily re-elected in the next cycle. Actually, fair point. There was a fire here in California and everyone's forgotten about it.

Yes. We forget. It's really unfortunate.

I mean, same applies to health stuff. We had COVID. Yeah, nobody remembers COVID.

I think, you know, Nico... Moderna remembers. Their stock price is down from $430. God bless this guy.

I think climate tech is an overloaded term because it means so many things and a lot of it is a bad word, especially in venture for a bunch of historical reasons. But energy, I think, is unambiguously positive and energy is a big part of climate. You mean like renewable energy? All energy.

How do we get cheaper, better, more sustainable energy? Yes. Everything from nuclear to solar to geothermal, different... Can we have fission, right? Yeah, different propensities of working. I think that is climate tech.

If we can figure out how to get energy in a hyper-dense way, then we won't need to solve all these other problems. Geothermal fits into climate. Energy, yes.

The rest of climate tech is ambiguous on definition. You can come up with creative solutions, right? Whenever in the world we have massive volcanic eruptions, there is a cooling of the temperature on the planet. Could we do any of that in ways that is safe for all the industries and the humans that are running on the planet? It could be powerful.

Finding creative ideas to have a very positive effect in an economic manner. Could we paint all of the Sahara Desert in a way that is reflecting some of the heat? Who knows? The challenge is that it is a very complex space. It is like trying to cure cancer.

Cancer is not one disease. Every little one of these solutions contributes, but then you pay attention to subsidies. Capital and labor are intensive.

It is more project finance. I think there is a subtler point in all of this stuff. I know you are going to ask this as an investment lens.

Being bullish on a lot of these things does not necessarily make them easy investments. You look at biotech, you look at energy, the failure rate is so high that you might be like, of course these things matter, but investing in these things may probably lose me money in most cases. If you remove the venture lens and you buy the incumbent with a moat, you at least want to be in a sector you think has state wins.

I think that is fair to say. I am not looking at it from the venture lens. I am looking at it from an investment lens overall.

I am going to say climate tech, energy largely. Would you bet on that number, Didi? I would say all of AI is built on more compute and energy. That is one reason, but nine.

Nikunj? If I had to bet agnostic of where else I could put my dollars, if I had to bet on climate, I would definitely put seven. Nico? I would be an eight, because we need more energy. This is one of the ways you boost productivity.

That is one of the ways you boost economic growth. AI is like a hog for energy. I actually think the world gets worse in the near term, because energy will become the fundamental limiter, which means we will frack more, we will pull more from the ocean, because nuclear fission and fusion will still take time to build.

You cannot build solar panels fast enough. That is why I was like a seven. Do I believe climate tech will solve? Yes, but it will take a longer time period.

But the world will get much worse in the next 10 years from a climate change perspective. Data centers, at least back home in India, have become like a real estate play almost. Everyone and their cousin and uncle and auntie are building data centers, who built apartments up until yesterday.

Do you think bubble now? Not yet. Bubble if you buy into it now? The multiples are not high. You get these companies at 16 to 20 EBITDA, depending on which geography you pick.

Data center businesses. You think it's a good place to get allocation? But do you have any real estate arbitrage? Do you have any energy arbitrage? Everyone has a different narrative. One is near a power station, one is also a real estate player, so they have real estate arbitrage.

Different people have different things. India has... We mandated that financial data of Indians has to stay in India. As much as a big chunk of data created is in India, so if they mandate that all Indian data has to be in India, it becomes a huge escape.

I think that's a very good narrative that will be driving local pockets of demand in many different countries. Can you bet on the operator that over time will be the consolidator? If you can find that awesome entrepreneur, I think it could be a good trade. I still think it's underrated.

The amount of compute in each country... Don't you think compute will get more efficient with time? We'll need less space in a data center. We'll continue to use more and more of it. You think? Google just announced double their token usage in three months.

I think we're just at the very early innings of how much token usage. Even with efficiency, we're going to use far more compute. Even with chips getting better, we'll still use more.

I don't think that goes away for the next 10 years. Each country will use compute and energy as their nuclear weapon. You will have this.

You will want to keep ownership of this. Right now, it's a big geopolitical risk where Saudis especially and other countries are hoarding these chips and that becomes a strategic geopolitical asset for them. India will not want to be left behind.

Rated? Data centers and investment? 9. Depends on the person. Today, Nico? Again, this is an exceptions business. I would be back at 7. Because you've got to pick the right operator that has all the other right conditions.

But as a broader trend, yes. I would be at 7. I'm actually lower because I think yes, there's a need for compute but to Nico's point, there's so much that goes into running a data center. Do you have the skills? How often do you have to renew the hardware? What are the hardware you're putting into that? How much does that cost? How much are you selling it for? There's a lot of things that go into the business of data centers.

So yes, will data centers exist? Generally, yes. There'll be more and more but some data centers are extremely bad businesses. Multiples have not been also good.

Sorry, yeah. Multiples haven't been good and there's ways to really fuck that up. You can buy a bunch of NVIDIA and then sell inference and you might be making pennies on the dollar.

It really depends. Overall, I would say 6. I'm going to ask you advice on a few companies I've been reviewing when I'm here. I had a thesis that when we all have more time at hand, when abundance comes about and productivity goes up, I wagered a guess that humans will go back to what they always intrinsically did.

One big activity is speculation. I was speaking to companies like Kalshi and Polymarket. What do you think of them as investments? Forget the regulation side of it.

Forget one is US, one is outside. Gambling is a good investment. Gambling will always be good as long as it's legal.

It's a vice. It's a vice investment. People like to speculate and make money off of it.

That's a no-brainer. You think even today the crazy multiples are direct? Yeah, I think so. The more people come in, more of those markets become liquid, they become more investable, they become market makers, more institutional players might come on.

There's a whole bunch of things that can happen around prediction markets. I think it's a great thing. I would like it.

I think you said forget regulation. Regulation for Kalshi is regulated in the US. Polymarket is more

on the blockchain, peer-to-peer betting, more international customers.

I'm guessing Robinhood will soon figure out whether they're a partner or they're going to replicate what they could maybe easily replicate. There's so many moving parts when it comes to regulation. I don't know how to put it in a box.

Assuming that regulation is sold for the category, is this going to be a great category? Yes, I think it's a great category because it's entertainment. You already have evidence from several of these that the consumer eyeballs are really there. You have a well-driven business model for some of these that really works for other industries.

The margins can be pretty awesome, depending on how much the regulators would want you to part with them. Then the news cycle is great news for all of these businesses. Overall, again, regulation risk aside, I'm pretty bullish about the category.

In the class of entertainment as a whole, especially with abundance, there's going to be infinite money and time. Do you bet, Nikuj? I feel like you've closeted something in your outside. No, no, no.

I play poker quite frequently. I feel like there's another version of Nikuj that he doesn't let on. I... You have to deny it now.

Top 2% of sports bettors worldwide. I play FIFA a lot. What's your voice, Nikuj? What's my voice? Probably poker.

I spend a lot of time playing poker. Poker is not a voice, come on. Get creative.

You're so composed on the outside, inside has to have something else going on. My friends growing up always called me a granddad. I've always been that way.

Did you enjoy being called a granddad? Yeah, I have no problem. Not no problem. Did you like it? Yeah, I was perfectly fine with it.

Why? I don't know, something about maybe I have more wisdom than the average person. Maybe the vanity side of it could be. But... That's such a granddad answer.

That's such a granddad answer. I don't see the vanity of wisdom. I see the vanity in many things.

But the older person kind of vanity, I don't see why it appeals to a young boy. I don't know. I've never been... Yeah.

Maybe I've just been very comfortable like I want to go to sleep at 9pm. Sleep at 9pm. I know that's your projection.

Loving husband, two kids, electric cars. You should ask my wife. How did you meet your wife?

We met in high school.

This is just like textbook. Fairytale. The craziest thing about our life story is we never dated.

We never lived together. I just knew her for 10 years. And then one day I asked her, will you marry me? And she said, f**k no.

And then I convinced her. Two months later we got engaged. More textbook.

Right? Yeah. I wish I had the time to poke it. Not today though.

Not today. I wonder if you asked HachiPT if he described me in three words based on everything that he knows. I would love to know what it says.

We can try it now. What model should we use? I don't know. 03 is probably the one.

Of course. I have 03 Pro. That might take a while.

Not me. Describe me. We're going to burn a few trees in the rain forest.

Just to know. Too much energy. I'm actually super curious now.

He probably watches what he says to HachiPT as well. No. Because that's somebody else keeping your data for you, right? Actually, HachiPT knows me probably better than anybody else in life.

Wow. Including the wife? It has to because you spend so much time sharing your thoughts. Everything I write, everything I talk about, every thought goes through it.

I'm fully bionic that way. I mean, same. It says, analytical, proactive, visionary.

I don't think the last occurs. That's great. New LinkedIn headline.

Now tell HachiPT, tell me the truth. Tell me the real truth. That's funny.

This is the real podcast. I love this. Assessing the real truth.

Let's see. Normally I'm a little bit more robbing. But today there are so many people and we're talking about something I want to get out of the way.

Yeah, fair enough. Superpowers. Patent spotter, relentless editor, agency amplifier.

Can I write this one? Yeah, go for it. Please be funny. I'm going to write, speak like Jung, a therapist I really like.

What are my shadow traits I don't want to take cognizance of? So, Chris Pack did this thing called slash Graham on Dia browser. Do you guys see this? It basically psychoanalyzes you. Slash

what? It's called slash Graham, based on Graham Duncan, who did this basically prompt.

It's a very good prompt. It goes through your Twitter and just psychoanalyzes you. I posted mine online so you can see it, what it said about me.

And so everything I thought through, what did it say? It's reflecting right now. You could also ask if he's a gambler. You can ask him.

My biggest vice is poker. What are my biggest vices? Tell me. Okay, this is getting better.

Oh my, you're an expert prompter. I love it. What does it say? The tyrant of efficiency.

Counts seconds like coins and curses every idle breath. That is true. The specter of control.

Fears chaos more than failure. Maybe. The armor of intellect.

A polished exterior forged from logic and data. Deflects feelings, both yours and others. The mirror of validation reflects only on achievement.

Each milestone fades the moment it is reached. Demanding the next brighter proof. The shadow of exhaustion.

Invisible at first. It whimpers that stamina is limitless. Ignore it long enough and it steps forward as burnout.

Better. Deep. But not that different.

Better. Like a little bit less filtered. I wrote a post called I'm not good enough that talks about every failure I've had in life.

This is why humans are better than AI. We're vulnerable. You can use it, you know, for advantage.

Okay, let's rate speculations. Like polymarket? Yeah, polymarket. I mean, without regulation, I'm a 10.

I'm a 9, you know, without regulation. Okay. 9, it's a part of entertainment for me.

Nice. Okay, so when we spoke about how the world will change, let me first summarize what got the highest marks. So we said beauty and luxury is like a great sector to build in.

30 out of 30. Followed by speculation and gambling. Great sector to build in.

All vice businesses, vanity. Yeah. Followed strangely by education, which is outcome based.

Yeah. Then came world older, sicker, senior living, content, EV adoption. Yeah.

Those had the same number. That's interesting. We'll put this up on a chart and we'll say what each of you said and why they said it.

I feel like this is very useful data, both for capital allocators like us, but also if I'm a young kid looking to start something, it allows me to extrapolate a rate of growth, so at least I have some tailwind in the industry that I'm building. I would disagree with that last bit. Yeah, why? I think so much about building is more about where your unfair advantage is, not where the macro is going.

And so I think, take beauty for an example. I'm sure some of us have friends. Building in beauty, often I think not doing a great job is not because I don't believe in beauty.

I think you don't have any unfair right to win. You're not doing this correctly. I think that's a bigger part of the equation for me, especially when young people come to you for advice, then you're not going to say, just because I think beauty products are going to do well, that you should go build a beauty product.

Those are not synonyms. Are you still going to contest that your unfair advantage is distribution because of content? For me? On what? On anything you want to build tomorrow. 100%, that's one of them, yeah.

The main one? Probably, it's probably the rarest one. I would say I have some unfair advantage on selling to big enterprises, but so many other people do. Are you worried that you might be perceived as a content creator versus all the other stuff that you do and hence you try and push it away? Yeah, 100%.

I don't like people perceiving me as that. I think it's a terrible tagline. I don't want to be called an influencer or a content creator.

Why not? Because I think it comes with an association that I do not enjoy. I do it for a certain kind of reason, and I don't think most people who do it do it for that same reason. I think when you use the label, then people interpret it for the latter.

They think you're doing it for fame, glory, yada, yada, yada, and I don't think I am. Therefore, I don't like the label. Isn't it like a form of storytelling, form of art? If you called it a storyteller, I would be like, call me that all day.

But it's very different than calling somebody an influencer. Isn't every influencer a storyteller at the end of the day? I don't think so. That's definitely not true.

Tell me one very popular influencer who doesn't tell stories well. I don't want to diss some people. Let's say this.

If you go on some of the top Twitter profiles on X or whatever, most of them are not telling stories. They are inciting rage. You could argue that's some kind of story, but that's not really a story.

They're not trying to convey anything meaningful. It's rage bait. Taking the contrarian narrative to the populist one, right? Some of them.

There's a couple of trends. One of them is that. A lot of people can be popular on various different platforms doing things that don't involve storytelling.

Sharing nude photos of yourself. Exactly. You're telling some kind of story.

Have you done that? Have I done it? Not for popular demand. I suspect you're left-leaning. Almost socialist.

Just because he's Greek? How so? Just the things you're saying. There was a distaste for capitalism which came across when you said something earlier. Well, I've been working in the US for the last 15 years.

As a capital advocate. Clearly I'm confused. Fair point.

I'm going to ask you guys for another opinion on a company called Harvey. Thoughts? Legal tech. Legal AI.

These are companies I've been meeting in the last two weeks. And I've been trying to figure out how to maybe do something with them. It's difficult to get answers out of VCs on companies like this.

In my understanding. There's no incentive for us to ever share a negative view on anything. In general, asking VCs about companies is bad because if they're invested they have to be positive and if they're not, they still have to be positive.

With the caveat that you're not invested, you can give me a more objective opinion. Not on camera. You just can't.

Basically every company you're going to ask us about, all of us are going to say great things. That's what's going to happen almost no matter what. Unless it's a clear disaster company.

Niko might. I don't know, Niko. You want to say anything bad about a company? I mean, you can give some criticism.

Would you go all out? You wouldn't. I don't know as much about Harvard to give you an informed opinion. I'm not saying that to sound politically correct, but I think they're building on the right side of history.

They are. Have they been amazing at signing up a lot of the largest law firms on the planet? They have. Has this led to them achieving capital like fundraising advantage? It has.

Has this translated into them recruiting amazing people? It has. Is their product the best in the

space? I have no idea. Not close to the company.

But as you know, Nikunz was saying, the product has to be really good. Because attorneys for better or for worse, you know, after FOMO goes away, they do care about those things. So like, you know, given where they are now, probably you would get a really good informed opinion about them if you talk to many of their customers who've been bombarded by everyone else and their mother who've been starting AI legal tech companies.

That's actually one of the spaces we miss here, that have been so busy. So if someone is starting now a new legal tech company, say in Series A, probably you would say no to in the US. It's just so busy.

I have the opposite take on that. I think not on Harvey, but I'm saying in general, especially with the RL focus and model stabilizing, I think the era of second mover advantages starts this year. Or starts now, basically.

We'll start seeing even companies started three years ago be disrupted by a better product. Now the David and Goliath will be in just three years, can the better product out-distribute them or not? For example, if somebody came in with a seed Series A bet that takes in an established giant, not Harvey, but in general in any area, but they have clearly a better product, I would still be interested in at least exploring that bet, even though they've been out-distributed. Just because we're seeing such crazy advances on the technology side.

And the stacks are leaner, gross margins are better. The question is just about distribution. If it's as great as you sound, please give us a call.

Can I ask, what is India's play in all this? I'm talking to young entrepreneurs in India, where is India fitting? You can be candid, don't say on camera I won't say this, that and the other. I think a big problem in many parts of life is when we don't recognize that there is a problem. I don't think you can find a solution if you don't first get there.

And that's where I think what you mentioned before is important. Having a knowledge of where the trends are happening and where the growth is going to be, sure. You always want to play for your strengths, but isn't it even more amazing when you can play towards your strengths in the biggest market opportunities? I find myself incredibly lucky that 17 years ago I said I'm going to go and have a career in tech because none of my friends or people I grew up with did that and it's just a lucky accident for me.

Knowing where the trends are heading to is important for the youth. I can give a couple of thoughts on India and AI. Generally I've been somewhat public about this too, and some people have not liked it, but I think unlike other things, other kinds of technology in the past where you could create a local economy with that technology, I mean for example you had your sharing services and the gig working boom, so OYO existed in India just like an Airbnb would, or you

have an Ola just like an Uber.

You can create local versions of those businesses that work for that area and you're not really competing unless that other company comes and tries to compete in that area. On AI I don't think there is any local advantage, so I think everyone is competing on the same playing field. There are a couple of common things that come up that people say, hey, these could potentially be local advantages.

One is, okay, let's get data for languages in India. Yeah, that's great. I think that's perfectly valid.

If Google doesn't pour more resources and try to get the same thing and you have an advantage, that makes sense. I like that view. But for most other things, I would love to see, I would say, India try to compete on that global scale and that needs capital, that needs talent, that needs just a desire to want to be on the cutting edge.

In my mind, it's not there yet. I think that's empirical. None of the top models are Indian models.

They're American and they're Chinese in any field, audio, video, image. I would say in the global playing field of AI, the most prominent Indian figures are probably somebody like an Arvind at Perplexity or maybe some of the researchers at some of these labs and things like that. Therefore, in my opinion, today, I wouldn't say they're competing at a global level.

I don't know if people on the ground have ambition to, but I think there's a couple of gaps to be filled if you do have that ambition. The ambition is definitely there. What can India do to get competitive in this realm? I think one of the things that is, I'll say an observation first and I'll answer the question.

One of the observations I have in general about how India reacts to technology is, India reacted to AI like, I want to be a part of this well after this was a thing. That general mindset will rarely make you win at a thing. If you compare that to China, for example, there are many differences.

China has had so much local talent, so much development in math, so much research in AI for many, many years pre-LLMs that allowed them to then capitalize on that and go like, okay, look, we can probably do something here too. We have the base built out. I think for India to do something in AI, I don't know if a lot of that base is built out.

There's a huge talent leakage problem. Most of the top AI talent in India is here, literally a three square mile radius from where we are. There's a talent problem, there's a comp problem.

Why would an AI researcher want to be paid in rupees? I don't. I want to be paid a million dollars or a hundred million dollars like they're getting paid here. Then there's a general systemic problem on capital is a little bit harder to get and then resources are harder to get and then people haven't done work on GPUs in India.

If you go into Bangalore today, how many people have ever programmed a GPU? Very hard to do anything in AI if you've never programmed a GPU. If you're starting from scratch, you're going to have to catch up. I think there's a lot of systemic factors and then to solve that problem, invest in core research, figure out how to keep talent in the country and you have to do it a long time before something picks up for you to be able to take advantage of that.

There's no accident that China was able to take advantage of that. They had a lot of foundation built in many, many years. That's my take.

I've spent half my life here, most of my professional life, all my professional life here so I don't have a view on the India market. A lot of things Didi says I echo but I do think we have to kind of, the best I think India has a two decade advantage from a pure median age perspective. The youngest talent in the world is in India right now.

I feel like if you don't capture it in the next two decades, that shifts to Africa or shifts to the next country and I feel I don't know what the answer is but I would love to see us capture the advantage there, at least from a pure, being in the prime perspective, India is prime from a population standpoint and the depth of talent and the depth of young people. So that's one, that's the optimistic side. Now what do you do with it is the main problem and I kind of echo differently than Didi like you don't need the best AI researcher I mean it would be great if India had a lot of great AI researchers and they all stay there but the brain drain problem has been true for the past 50 years and will continue to stay true.

All the best Indian entrepreneurs I know are trying to move here but you try to figure out like where in the playing field do you play? Like you know, Freshworks is a great example where they took a product but figured out the right markets for it. Is there products in this new AI application era or are there products in the biotech space? India has insane amount of talent in hospitals and vaccines like centers out there like manufacturing side. Take manufacturing as a sector like you know, the China N plus one model can really benefit India.

So take the sectors it's going to be phenomenal at and then go from the very bottom up to the top and see how can you allocate capital, people, training to win those markets versus play the me too movement. I feel like a lot of Indians I meet in India just like have this envy and they look at the US market and they want to be in the US market versus play the games you're going to be excellent at and then find ways to like I mean the things I mentioned again but I don't know the India market as well. But I do believe like the China N plus one is happening.

It's 100% happening from manufacturing. Not in AI. But that's what I'm saying.

Don't miss the AI board but play on the application level which I think India still has fantastic product engineers and designers who can go build that. That's a talent that is easily portable from the pre AI era and then pick the markets where it's going to be excellent at. I don't know if that's

minerals, I don't know if that's mining, I don't know if that's robotics.

I don't know the India market but instead of playing the MeToo side like hey I want to do this also, find what it's going to be excellent at and then concentrate capital in people there. Wouldn't you guys just say that now is probably the best time it's ever been for a young prospective founder to ever become active in India? Because access to knowledge Relatively. Relatively, yeah.

To our own past. Exactly. So access to knowledge thanks to your podcast and everyone being part of the global internet generation is no longer a problem.

The size of the local market, it's been larger than it's ever been. There are enough India for the world companies that are now setting the bar pretty high. There are enough very successful founders on the ground like yourself or like over here in the US that anyone can look up to.

I would be very excited to not even consider moving to the US or maybe come here for a couple of years and then go back and build. By the way, just on that previous one I want to say I was just talking about foundational AI layer for apps and everything else in the AI layer 100% many reasons to do stuff in India. Could that be the bigger market tomorrow? 100%.

I don't understand for example why India doesn't have more amazing gaming companies. Because the amount of money required to build a triple A game is substantial and the risk capital for that is not there. But you don't need triple A games.

Exactly. I think the future of gaming is largely not going to be triple A. In a world where everyone is part of the internet generation the more brains you have online the more creativity you can unlock. With AI everyone has superpowers and we have the next generation of tiktok games whatever that means.

Somebody who is 15 years old and they've been making stuff online for the previous 7 years somewhere in India. That's more likely than ever before. I've thought about this a lot and I've tried to arrive at what the answer to that particular question should be could be.

I think it's cultural. We as Indians from a very young age are taught to run away from risk. We are trained not to depict any form of rebellion.

Our teachers are not our teachers. Our teachers are our gods. Questioning them is almost offending them.

Religion plays a huge part in our cultural biases as well. So we have to some extent, nobody is going to like this answer but we have to some extent become a society which does not cherish or encourage contesting the norms of the day. And I think that's bad for innovation.

Is it changing? I hope it is. I hope it is. I don't know if evidence depicts that but I hope it is because we have to change.

With access to education I mean Chhattopadhyay's number one market is now India. Those kind of with Jio, everybody having access to the internet now it's like fact checking and people say something. I'm curious.

I think the internet teaches you many things but I think culture is more a factor of our schools and what we see in our homes. Fair enough. Can patriotism be sold? Like you mentioned earlier, there are a lot of brilliant Indian minds who are in the US who are post the financial event.

Where I don't truly believe him that it has nothing to do with money but they might also want to project a similar thing. And for them coming back to India and starting something and adding patriotism to that same projection could make a lot of sense. How can you make this really cool? Like what we were saying before having kids should become really cool.

Being a patriot and doing the right thing for your country should be really cool. It was after the second world war in the western society, right? Doge kind of did that for the government in the US. Some of our peers are still there.

I think there'll have to be unfair advantages back home in India. I've not thought about this enough but say you're a patriotic Indian who paid X amount of tax or you came back to India just for the patriotic pursuit by giving up something substantial, maybe there's a toll line on a road and you have a separate line. Maybe you have a card which treats you differently with a government agency.

I think some kind of unfair advantage has to be weaved into the narrative to make this work but if at all it is plausible, it would be a great thing to attempt. Like Nikun said earlier there's two stools. You can get people to be excited about coming back to India, which a lot of people are.

Retaining them when they're back in India is challenging. You could build a separate city. The one great thing India has going for it, I think personally, is the labor arbitrage.

A kid living in a hacker house in San Francisco is living a certain quality of life. If I take him back, give him two cars, two drivers, a Coke, and this and that and the other, and he's working essentially online all day long and he still gets to spend 150 days a year here while building there, maybe there's a use case which works for both. NRI City.

Let's make it happen. And no air pollution. It doesn't have to be near any of the big cities.

There's a lot of people who moved to SF and especially people who are used to the quality of life of India and others. The quality of life in SF is horrible. Yeah, but the reason depends on how you quantify it.

Many of the people that all of us here are meeting, the 20 year olds who just moved here three weeks ago, three months ago, two years ago, they're over the moon. It's as if, you know, they're

doing drugs and their head is like exploding from joy every single moment. The most common thing young people and you guys both know this is I have never felt surrounded by like-minded people in my life and now the nerds are here and they want to talk about what I want to talk about.

Not like the bullshit that everybody else wants to talk about. And that's why people love SF. That's quality of life.

It's not like walking on the street or having a maid and a driver. For this project to work, critical mass has to be achieved. But I don't know what critical mass is.

What is that number? Do you want to be surrounded by a hundred nerdy kids? That could be possible. Is it 10,000? I don't know. It depends what you're solving for, right? Because if I'm a nerdy kid that was bullied my entire life, I come here, I have the highest status in this society.

Because here, you're a nerd, you're like top of the line. It's like you have your own, what you said, your own lane in the highway and when you want to pay the tolls, it's just you, nobody else. And then everyone around you who is a nerd understands you.

They're like, oh my god, people believe in me. Until now I was bullied. This is like insane.

It's like being like a slave and getting liberated. The example I give everybody is like only in SF, in the entire world, when you quit your job, everybody says congratulations. That's a great point.

Only city in the world. This doesn't happen anywhere else. In India, you're whacked probably.

Your parents are like, what are you doing? In any other country, it's like, oh my god, I'm so sorry for you. Here, Nico meets a kid, he's left his job, he's like, congratulations, here's your term sheet. And again, I think the good news is that this internet culture for the young generation that's chronically online is becoming a global phenomenon.

This is where talent is universal but opportunity is not. It's rising all boats. Critical mass you can now have online in a world of abundance.

Offline, even in a big city, it's harder to find those people if not everyone you know is a nerd. COVID was a great reset but it moved right back. There were a couple of years that New York City in the US, in terms of seed states, was looking better.

Neighborhood in New York or anywhere else, you can find it. It's just like a magnet effect. Everybody gets it.

For the past 50 years, Silicon Valley has done this again and again and again. It's hard to disrupt network effects. It is hard.

I'll tell a story about one of my really, really close friends from New York. We've been friends for

12 years. He moved this year and he's lived in maybe five, six different cities in America.

He came and in month three or something, he's like, dude, I found my people. Where were these people? This is why I wasn't enjoying my time in Miami, in New York. It's like, I don't want to talk about all that.

I don't want to do all of that. Sure, he did it offline or online as well, but I think it's just a different sensation when you're like, man, these are real people around me who actually want to just explore curiosity. Here's some other things that we take for granted now, but no one talks about wealth in SF.

Some circles, yeah, yeah, sure. Compare that to India, where it's so in your face. How rich somebody is is so in your face.

Here, people don't have to drive a fancy car to show they're rich. They don't have to wear fancy clothes to show they're rich. That's one.

People make economically absurd decisions. People will reject offers to make millions and millions of dollars a year because they believe. That just doesn't happen anywhere else in the world.

God bless all those people, especially the founding engineers. God bless. We wouldn't do well, our founders wouldn't do well if there's a unique class of people, founding engineers or founding talent that show up a day after your company gets funded or gets started and they get like one-thirtieth of the equity that you get.

God bless those people. They're the foundation of the startup and the venture capital industry. Well, I think that's a good note to end tonight on.

I think we spoke for a fairly long amount of time, almost three hours. But thank you guys for doing this. Sorry I troubled you a little bit.

That's okay. If you were alone with me, I would have troubled you a lot more. More than welcome to.

You could have dug ten times deeper. Maybe the internet will dig. Okay, thank you guys.

This was fun. Thank you. So I was going to ask you, have you seen the real of yourself? I have.

What do you think? I think he's really talented. I wish I could act that well. Actually, I think I commented or I sent him something and I said, great job.

I think he's doing a good job. That's nice. That's nice.

When are you inviting him to the podcast? Someday soon. Why not, right?